

Economy

Restaurants: What's cooking in consumer spending?

24 August 2026

Key takeaways

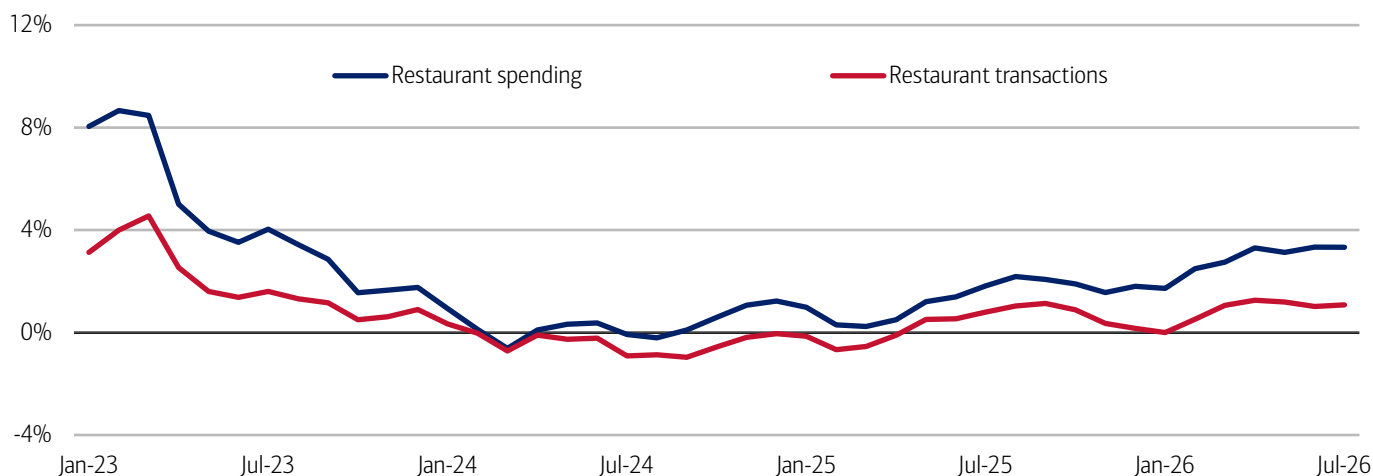
- Americans are dining out again, according to Bank of America card data. Restaurant spending and transaction growth have both improved meaningfully in 2026. Some consumer food spend also appears to be shifting from grocery stores to restaurants, helped by easing restaurant inflation, trade-offs in the grocery space, and faster after-tax wage growth than a year ago.
- The restaurant recovery is being led by younger and lower-income consumers, supported by improving wage growth, according to Bank of America internal data. Lower-income households are now posting the fastest restaurant spending growth among income groups, while Gen Z leads all generations by a wide margin.
- Consumers are favoring local restaurants over large chains, according to Bank of America card data. Despite accelerating restaurant spending, some national chains are not fully participating in the rebound. Spending growth appears strongest at independent restaurants, regional operators and other non-chain establishments.

Restaurant spending is improving in 2026

Restaurant spending accelerated through July 2026, according to Bank of America aggregated credit and debit card data (Exhibit 1). Spending rose 3.3% year-over-year (YoY) in July, up from 1.8% in July 2025 and a -0.1% decline in July 2024. Transactions are also starting to grow again, up 1.1% YoY— an upgrade from the 0.8% a year ago and the -0.9% decline two years ago. Taken together, this implies that restaurant spending growth is not just a price story. Higher prices are part of the picture, but the return to positive transaction growth suggests consumer engagement is improving too, with more consumers dining out and some consumers possibly dining out more often.

Exhibit 1: Restaurant spending and transaction growth has improved in 2026 versus 2025

Restaurant spending and transactions (three-month moving average, YoY%, seasonally adjusted (SA))



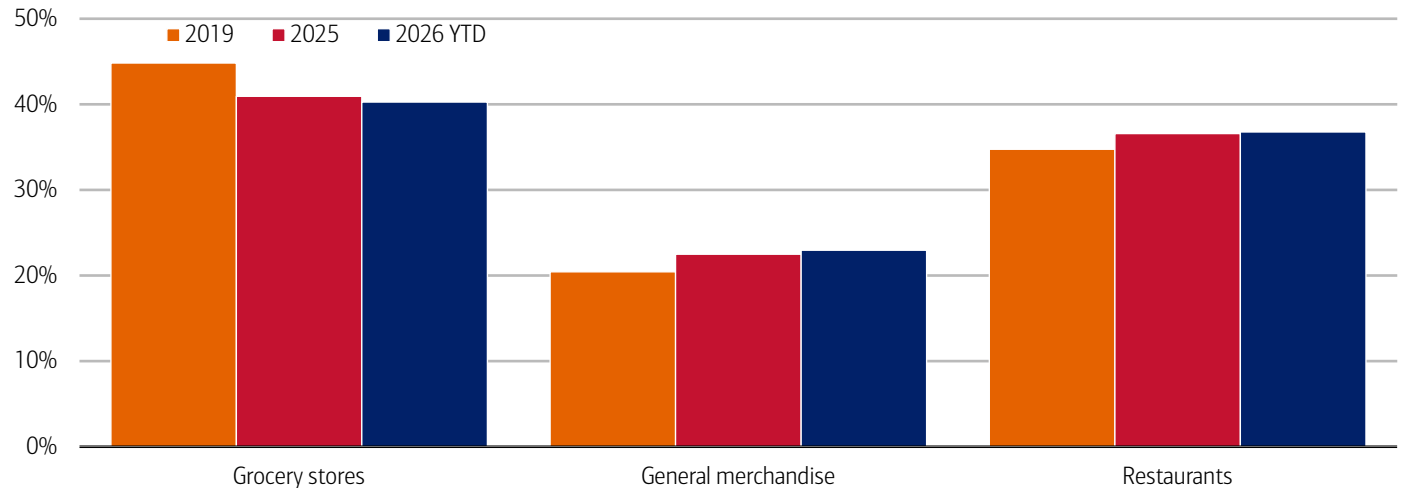
Source: Bank of America internal data

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In our view, consumers are moving some of their food spending from grocery stores to restaurants. Using Bank of America card data for general merchandise (big box stores and wholesalers), grocery stores and restaurants, we find that the spending share has increased for general merchandise and restaurants both YoY and relative to pre-pandemic levels (Exhibit 2). Conversely, the spending share for grocery stores has declined across both periods.

Exhibit 2: Consumers seem to be shifting some of their grocery spending to restaurants

Share of food spending by type of retailer (yearly, %, SA)



Source: Bank of America internal data

Note: YTD = year to date

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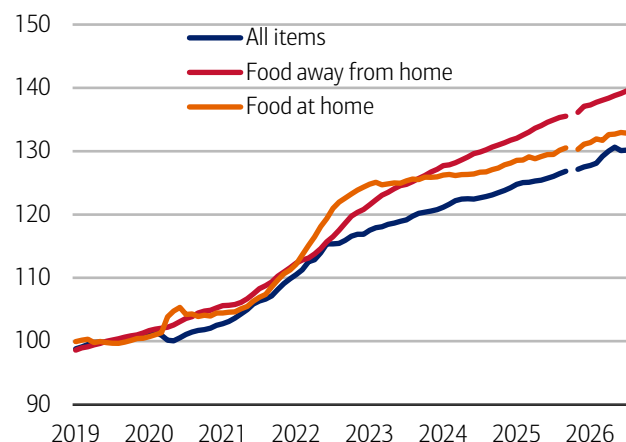
Easing restaurant inflation and stronger wage growth may be encouraging consumers to dine out

One reason for the shift in spending may be changing inflation dynamics. Consumer Price Index (CPI) inflation data from the Bureau of Labor Statistics (BLS) shows that restaurant prices (food away from home) have risen faster than grocery prices (food at home) and overall inflation (all items) compared to pre-pandemic levels (Exhibit 3). However, while restaurant price growth is still stronger than grocery and overall inflation, it has eased over the past year, while the latter continued to accelerate in July 2026 compared to the previous year (Exhibit 4).

While overall grocery prices continue to rise, some items, such as chicken and eggs, are falling in price. This gives consumers greater scope to substitute one item for another to save money. Bank of America internal data also suggests some consumers may also be trading down to discount/value grocers or store-brand items to offset price increases (read more in [The rise of value](#)).

Exhibit 3: Restaurant inflation has grown faster than overall inflation and grocery inflation compared to 2019

CPI inflation data overall and for select food categories (monthly, index 2019 = 100)



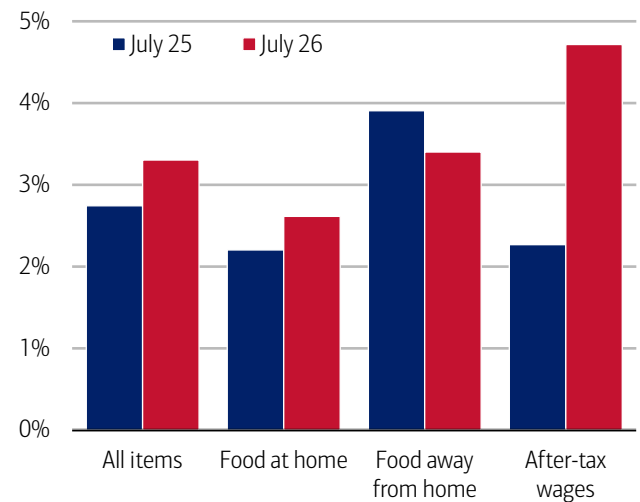
Source: BLS

Note: October 2025 data not available due to government shutdown.

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Exhibit 4: Restaurant price growth has cooled over the past year

CPI inflation data overall (all items) and for select food categories (monthly, YoY%) and after-tax wage growth (three-month moving average, YoY%)



Source: BLS, Bank of America internal data

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Another supportive factor in Bank of America deposit account data shows a sharp acceleration in after-tax wage growth. This suggests some consumers are also able to out-earn many cost increases, freeing up budgets for more discretionary purchases like dining out (read more in [Regional roundup: Shifts in spending](#)).

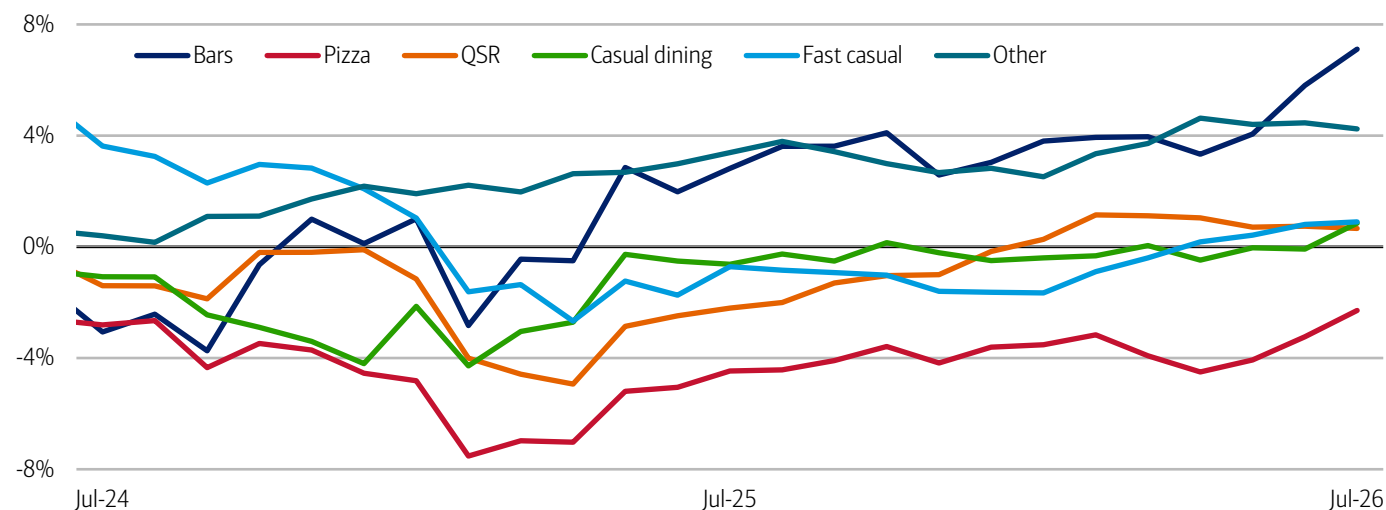
Independent restaurants appear to be outperforming large chains

Bank of America card data shows that not all restaurant types are benefiting equally. Overall restaurant spending growth is outpacing that of chains across multiple types of restaurant categories in July (e.g., pizza joints, quick service restaurants (QSR), casual dining and fast casual) (Exhibit 5). While bar spending is growing faster than all other categories, it accounts for only a small share of total restaurant spending and is therefore unlikely to be a major driver of overall growth.

This suggests to us that “other” restaurant spending – like spending at regional and/or local chains and independent mom-and-pop restaurants – which account for the majority of restaurant spending, is likely outperforming larger national chains. Also in this category is delivery services, which could also be experiencing stronger spending than some of the other categories.

Exhibit 5: Overall restaurant spending is outpacing many larger national chains

Spending by type of restaurant and overall (three-month moving average, YoY%, non-seasonally adjusted (NSA))



Source: Bank of America internal data

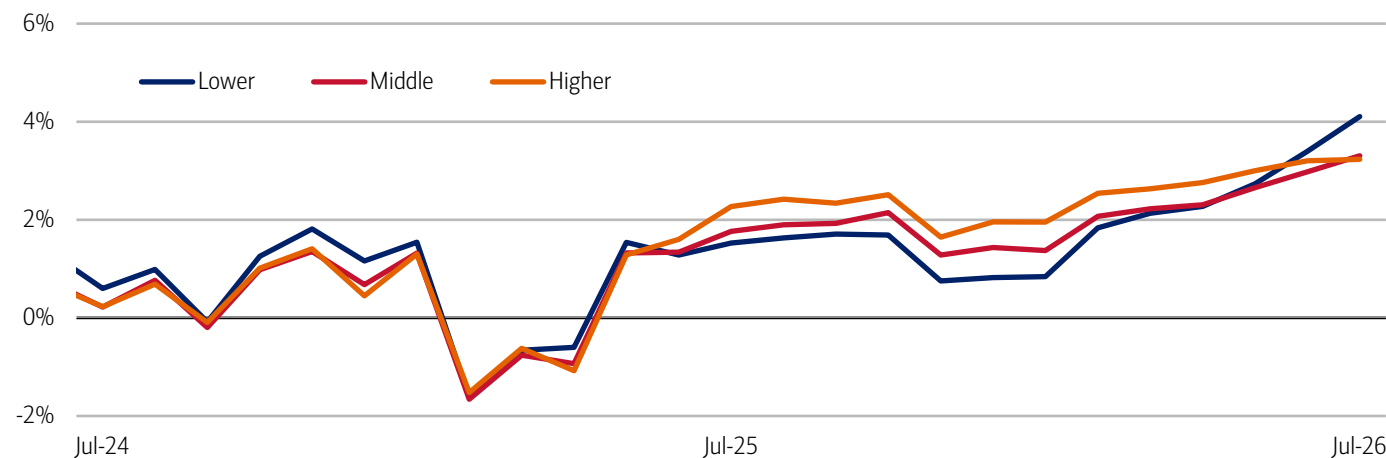
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Lower earners lead restaurant spending growth in July 2026

In the past two months, lower-income households' spending at restaurants has overtaken that of other income cohorts, according to Bank of America card data (Exhibit 6). Lower earners' restaurant spending increased 4.1% YoY in July, the largest improvement over the past year compared to other income cohorts. Notably, middle and higher earners' spending also improved, up around 3.3% YoY, and all income groups are seeing the strongest restaurant spending growth in almost three years.

Exhibit 6: Lower-income households' spending at restaurants has grown faster than other income cohorts since June

Restaurant spending by household income tercile (three-month moving average, YoY%, NSA)



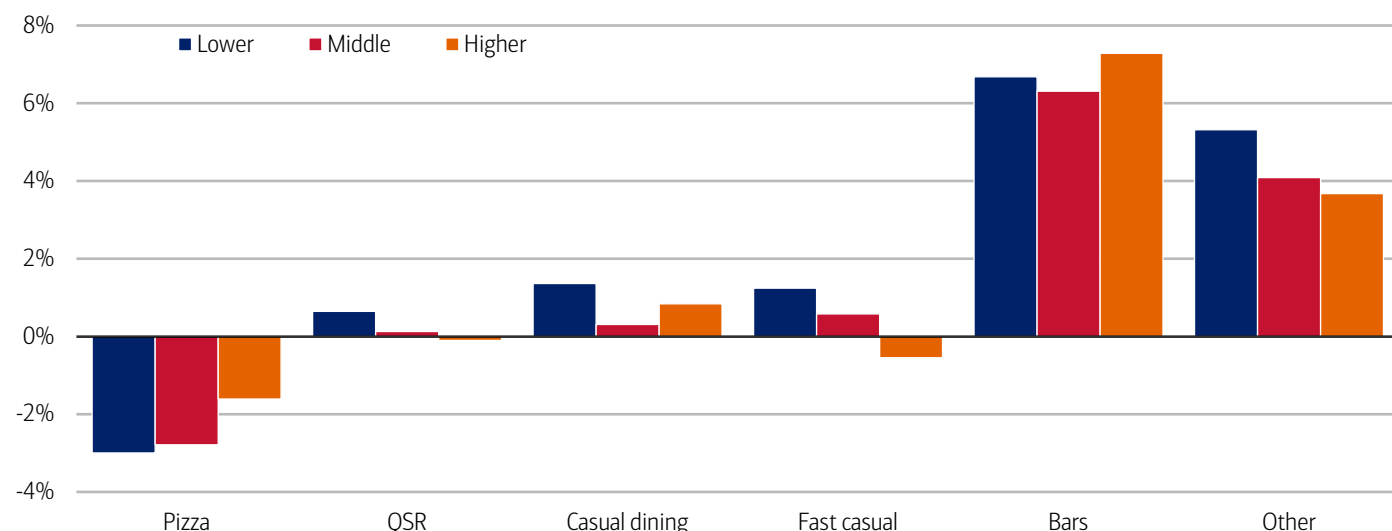
Source: Bank of America internal data

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Looking across incomes and restaurant types, a few things stand out. First, spending at pizza chains declined across all income groups. Notably, lower-income households are increasing spending across all other restaurant types (Exhibit 7). For middle-income households, the pattern is mixed: up YoY for casual dining, fast casual and other, but more flat for QSR. Meanwhile, higher-income groups increased spending at casual dining and other types. However, their spending was flat at QSRs and down slightly at fast casual eateries.

Exhibit 7: Lower-income households' restaurant spending is growing faster than all other income cohorts for most chains and other types of restaurant spending

Spending by type of restaurant by household income tercile (84-day (three-month) moving average, YoY%, NSA)



Source: Bank of America internal data

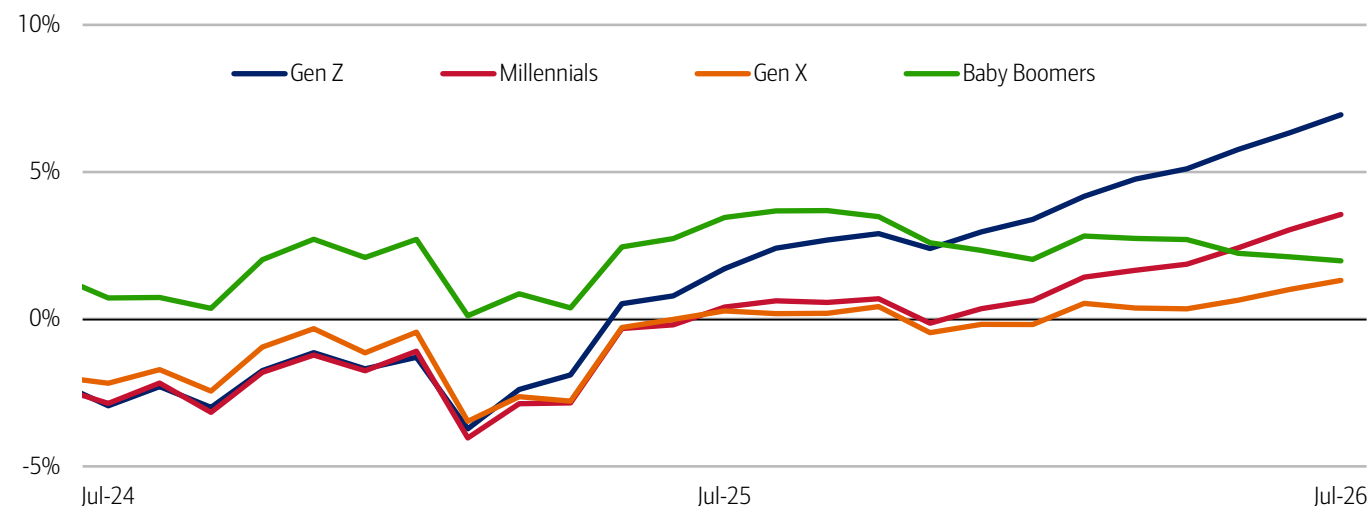
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Gen Z leads restaurant spending growth, while Gen X trails

By age cohort, Gen Z recorded the fastest restaurant spending growth, up nearly 7% YoY in July, almost double the rate of Millennials, the next fastest-growing generation (Exhibit 8). Both younger generations registered considerably stronger growth than Gen X and Baby Boomers, of which the latter has experienced easing restaurant spending growth over much of the past year. In our view, the recent strength in restaurant spending across other generations may be due to faster growth in after-tax wages (read more in [Consumer Checkpoint: The great convergence](#)). By contrast, many Baby Boomers (the youngest of whom are 62 years old) are retired and therefore not benefiting from labor market improvements.

Exhibit 8: Gen Z's restaurant spending has outpaced all other generations since November 2025

Restaurant spending by age generation (three-month moving average, YoY%, NSA)



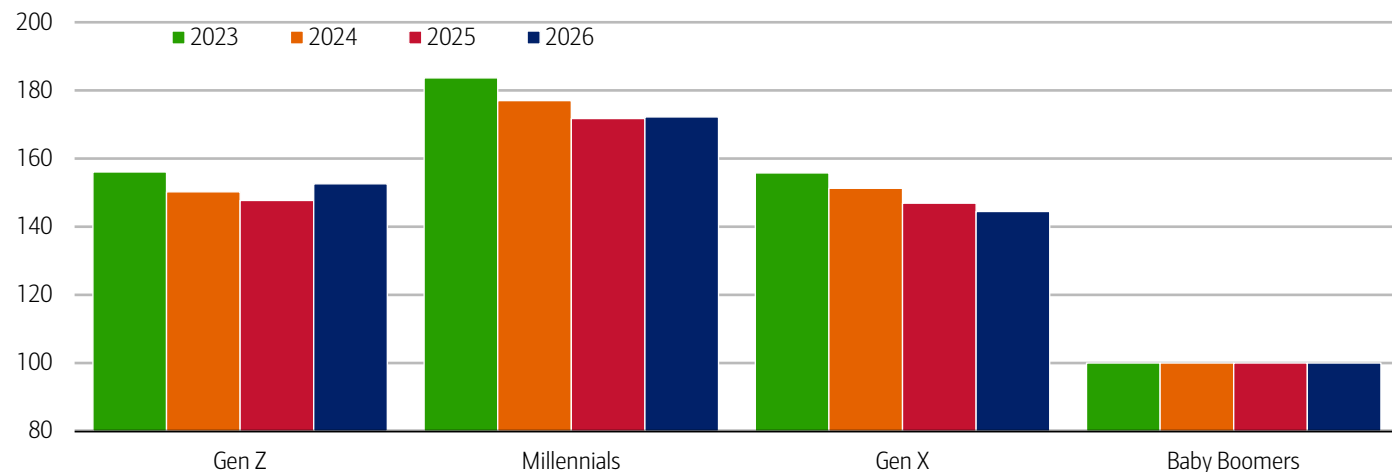
Source: Bank of America internal data

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Additionally, Baby Boomers spend the least at restaurants on average, compared to younger generations (Exhibit 9). Millennials remain the highest spending generation, followed by Gen Z. However, Gen Z are closing the gap between the two generations.

Exhibit 9: Millennials spend the most per household on restaurants, followed by Gen Z then Gen X; Baby Boomers spend the least

Restaurant spending per household compared across age generations (six-month moving average to July, index Baby Boomers = 100 for each particular year)



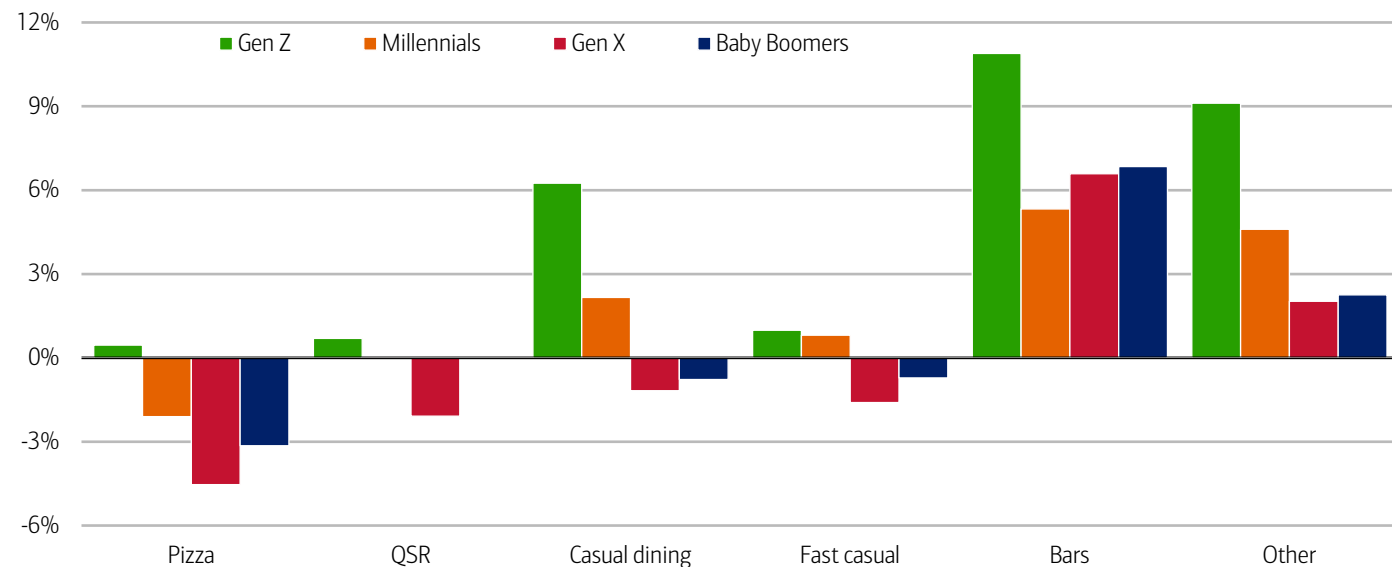
Source: Bank of America internal data

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Also, Gen Z are the only generation to have increased spending across all restaurant types, according to Bank of America card data (Exhibit 10). Millennials increased spending in casual dining, fast casual restaurants and other types, but decreased spending at pizza chains. Meanwhile, Gen X and Baby Boomers have seen declines in spending at pizza, QSR, casual dining and fast casual restaurants.

Exhibit 10: Gen Z's restaurant spending is positive across all restaurant types

Spending by type of restaurant and by age generation (84-day (three-month) moving average, YoY%, NSA)



Source: Bank of America internal data

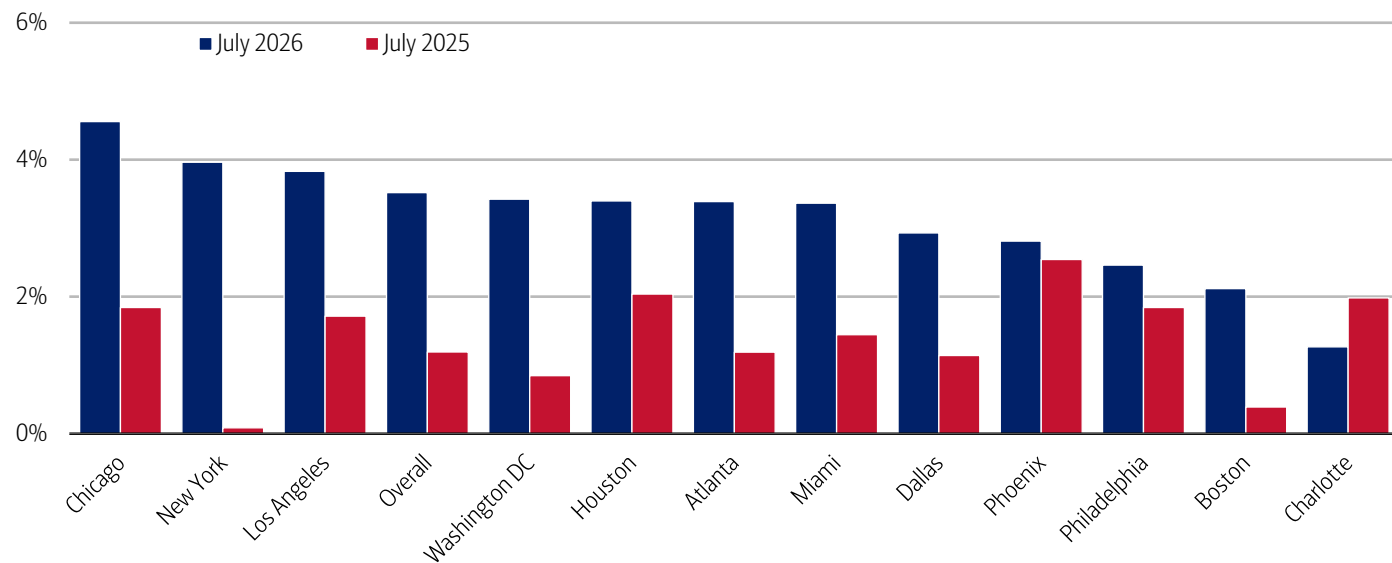
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Chicago, New York City and Los Angeles are leading restaurant spending growth

Looking across major metropolitan statistical areas (MSAs), spending growth at restaurants has been strongest in Chicago, NYC and LA, all recording rates above the national average, according to Bank of America card data (Exhibit 11). Notably, spending growth accelerated in all of the major MSAs below except Charlotte, but has been more muted in Phoenix and Philadelphia, possibly owing to solid growth last year.

Exhibit 11: Most major MSAs are seeing restaurant spending accelerate in 2026

Restaurant spending growth by select MSAs and overall (84-day (three-month) moving average, YoY%)



Source: Bank of America internal data

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Methodology

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Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under \$5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

We consider a measure of services necessity spending that includes but is not limited to groceries, utilities, and gasoline. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Discretionary retail includes but is not limited to general merchandise, miscellaneous, clothing, electronics and furniture. It excludes categories like groceries and gasoline. Holiday spending is defined as items in which spending in the November-December period is usually at least 20% of total annual spending on the category. Value and premium grocers are determined judgmentally on a proprietary analysis of merchants by equity analysts.

Durables spending is defined as spending on electronics, building materials, auto-related spending and furniture. Premium durables spending is based on a selection of retailers who are judged to sell relatively higher value products. Conversely, value durables spending is based on a selection of retailers who are judged to sell relatively lower value products.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Additional information about the methodology used to aggregate the data is available upon request.

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Economy

Autos: In gear, but the “K” is still in the headlights

20 August 2026

Key takeaways

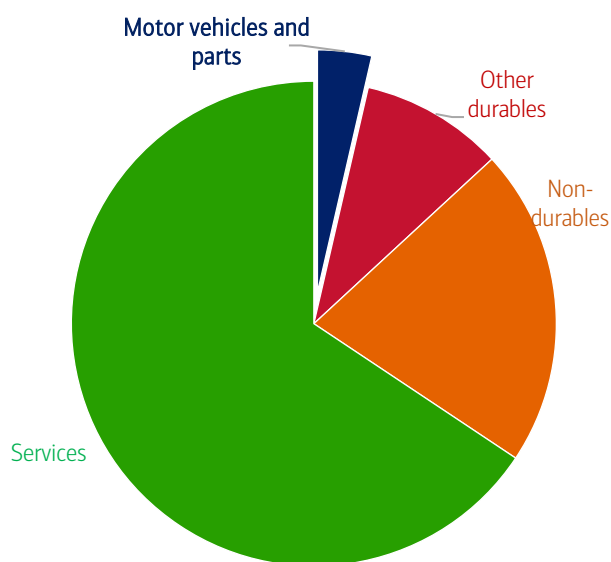
- New vehicle sales have held up well, despite higher gasoline prices. While there was a slight pullback in July, the current level of auto sales remains above the 2025 average. Improved fuel efficiency and the historically loose relationship between gas prices and vehicle purchases likely explain some of this resilience.
- But demand has also been supported by higher-income households, which account for a disproportionate share of new and used vehicle purchases, according to Bank of America internal data on auto loan originations and loan repayments.
- Will the closing of the “K” in credit and debit card spending also be reflected in auto sales? Possibly, but affordability remains a challenge for lower-income households and, in our view, it will take some time for these consumers to regain the confidence to make the large outlays required for a new or used vehicle.

Auto sales are solid, but not firing on all cylinders

Our latest Consumer Checkpoint highlighted a resilient consumer story (read our publication: [Consumer Checkpoint: The great convergence](#)). Although aggregated total credit and debit card spending eased back in July, year-over-year (YoY) growth at 5% was still one of the strongest readings in the last three years. Moreover, it appeared that total card spending growth was converging across household income cohorts, with lower-income households picking up steam.

Exhibit 1: Motor vehicles are an important part of the overall consumer spending story

Share of personal consumption expenditure by category (2025, %)

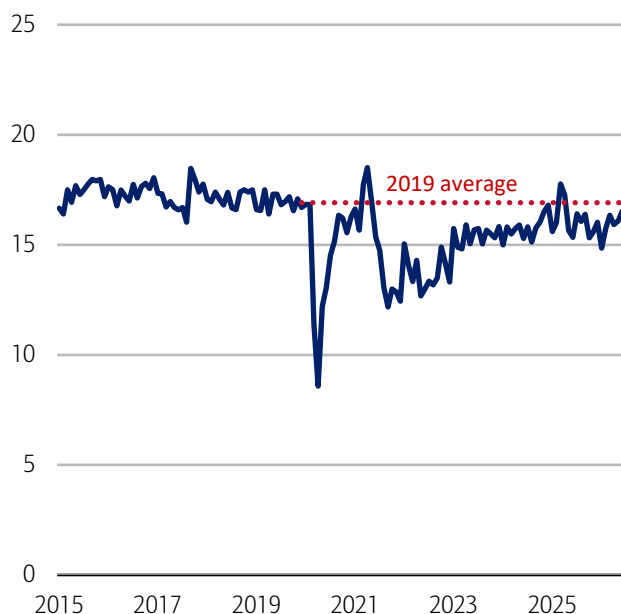


Source: Haver Analytics

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Exhibit 2: New vehicle sales dipped in July 2026 but remain relatively solid

Motor vehicle sales as a seasonally-adjusted annualized rate (SAAR, millions)



Source: Bloomberg

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One important part of the consumer spending story that is not typically captured on cards is auto sales. Exhibit 1 shows that, in 2025, motor vehicles and parts accounted for around 4% of total personal consumption and just below 30% of consumer durables spending.

Overall, the picture on new vehicle sales is positive. In July, total vehicle sales were 16.3 million, at a seasonally-adjusted annualized rate (SAAR). This was a dip from the June figure of 16.5 million, but it is still higher than average sales in 2025 and well above 2023-24.

However, prior to the pandemic, new vehicle sales were higher than today (around 17 million in 2019) and since then the number of households in the US has continued to grow. These extra households might have implied rising underlying incremental demand for vehicles. So, while solid, in our view, auto sales are not as strong as other parts of consumer spending.

Gas prices have not stalled demand

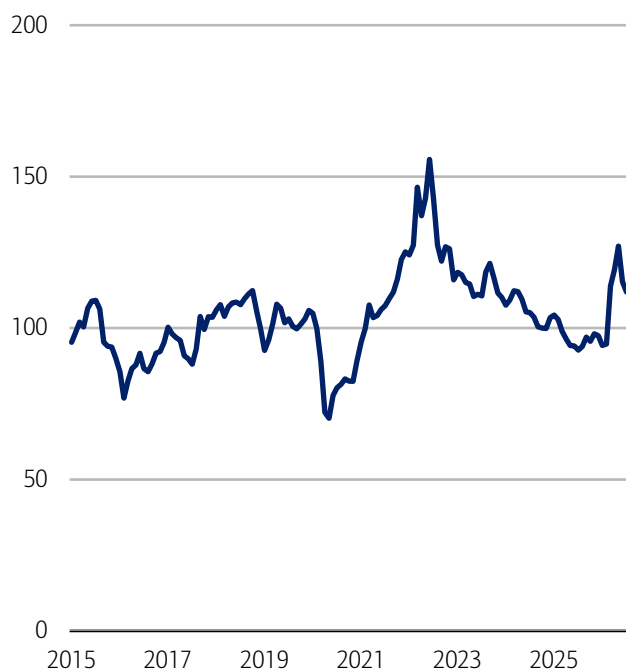
Still, auto sales have weathered one potential headwind this year: higher gasoline prices. In May, the price of unleaded gas reached over \$4.50 per gallon and, despite this, there has not been a significant pullback in vehicle sales.

Why? One reason is that while consumers certainly felt pain at the pump, in inflation-adjusted terms, the rise in gas prices was not quite so large (Exhibit 3): much less than the peak in 2022, for example (Exhibit 3).

And, more broadly, while there has typically been some negative relationship between inflation-adjusted gas prices and auto sales since the 1980s, it is not very tight (Exhibit 4).

Exhibit 3: In inflation-adjusted terms, the hike in gasoline prices was less significant than that around 2022

Price of gasoline relative to CPI (monthly, index 2015 = 100)

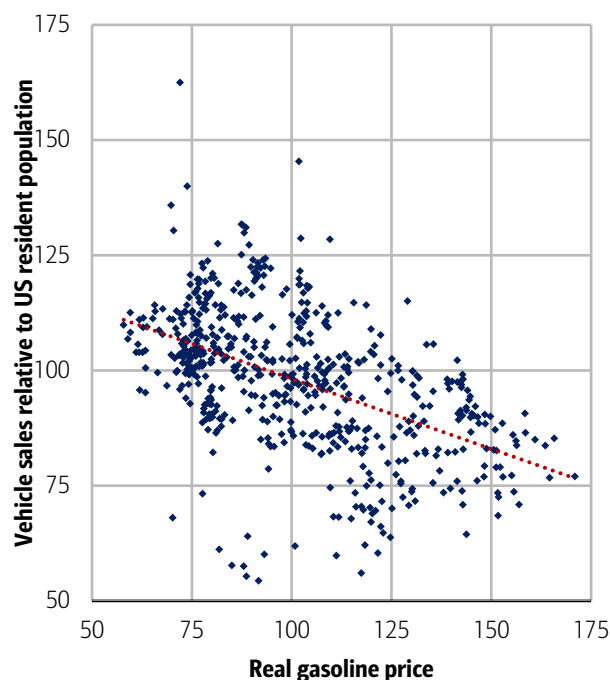


Source: Haver Analytics

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Exhibit 4: There is a negative relationship between gas prices and vehicle sales, but it is not very tight

Real price of gasoline (monthly, index 2015 = 100) versus vehicle sales per resident population (monthly, index 2015 = 100)



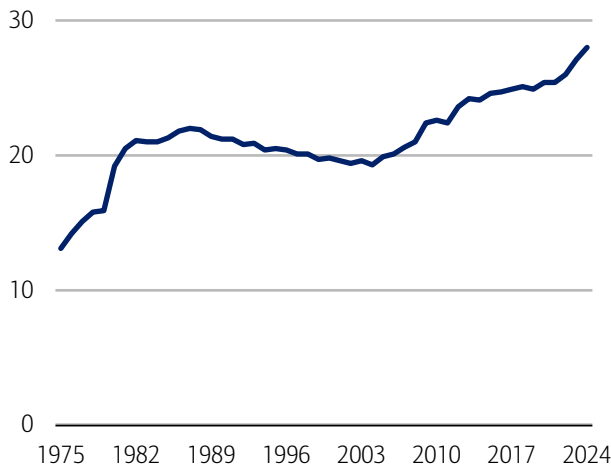
Source: Haver Analytics

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In fact, in recent times, it is possible that the relationship between gasoline prices and vehicle sales has become looser. One reason for this is increasing vehicle fuel efficiency. Exhibit 5 shows that the miles per gallon (mpg) from a new vehicle today will be somewhere close to 30mpg, while back in the 80s it was nearer 20mpg. Part of this is due to vehicle mix, with more hybrids and electric vehicles (EVs) being sold. But even traditional internal combustion engines (ICE) have been getting more efficient.

Exhibit 5: New vehicles have been getting more fuel efficient

Average fuel economy (miles per gallon) of new light duty vehicles

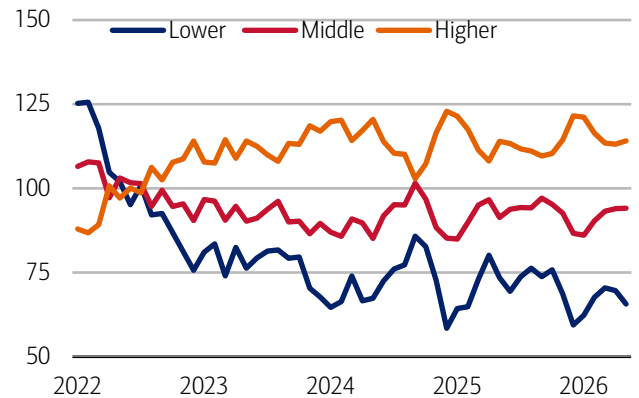


Source: US Environmental Protection Agency

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Exhibit 6: Growth in the number of new auto loans has skewed towards higher incomes...

Bank of America auto loan originations for new vehicles by customer income (monthly, index 2022 = 100)



Source: Bank of America internal data

Note: See methodology for income definitions.

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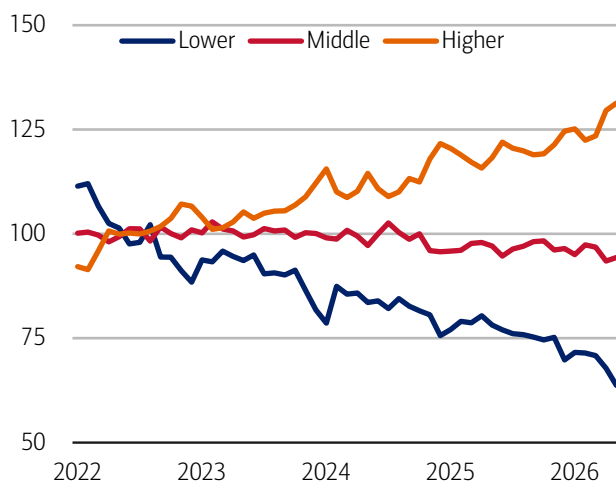
Higher-income households are still in the driver's seat

In our view, another important part of the solidity in auto sales has been down to a “K” shape in consumer demand. Looking at Bank of America internal auto loan origination data, we find that in both the new and used car markets, the share of originations to higher-income consumers has risen relative to just after the pandemic (Exhibit 6 and Exhibit 7).

We can also get a perspective on car market dynamics by looking at data on the number of Bank of America customers making large payments (above \$2,000) to auto firms and vehicle finance providers, which we take as indicative of initial down payments. This data serves as a proxy for both new and used sales and captures not just Bank of America originations but car loans more broadly. Exhibit 8 shows that, on this basis, higher-income households accounted for more than 40% of all transactions in the period May-July 2026, while lower-income households made up less than 20%.

Exhibit 7: ...as they have also for used car loans

Bank of America auto loan originations for used vehicles by customer income (monthly, index 2022 = 100)



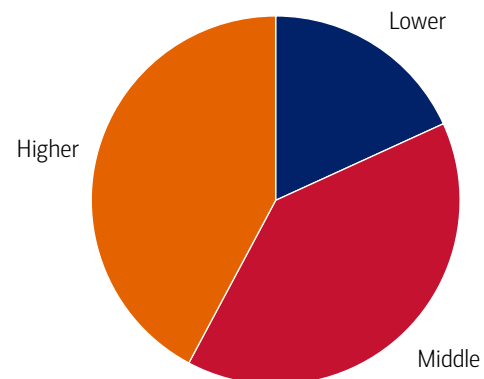
Source: Bank of America internal data.

Note: See methodology for income definitions.

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Exhibit 8: Higher-income customers make up around 40% of our proxy of payments for new and used sales

The share of large* auto loan payments by income (May-July 2026, %)



Source: Bank of America internal data

*Note: Large payments are those over \$2,000 and where no payment greater than \$600 was observed in the previous two months. Data is across payment channels (credit and debit, automated clearing house (ACH) and wire). See methodology for income definitions.

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Could consumer convergence lift lower-income auto demand?

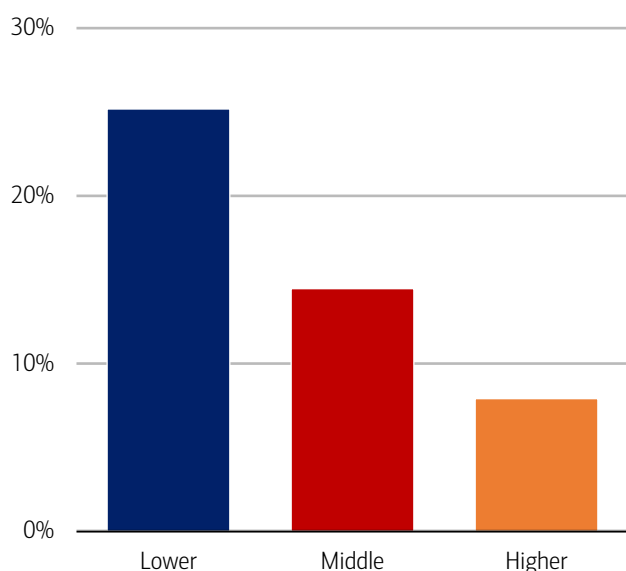
So the overall “K” shape to consumer spending has likely been reflected to a large extent in the auto market, both for new and used car sales, with higher-income households driving an outsized share of sales. Higher-income households have also been less impacted by recent higher gas prices, as gas spending takes up a smaller share of their wallet, so their demand for cars has likely been more resilient.

But what are the implications of the recent convergence we have seen in overall credit and debit card spending across household incomes for the car market? In our view, on balance, they are likely positive. For one, the overall consumer convergence story is being driven largely by lower-income households’ spending growth rising to meet that of higher-income households, so any similar strengthening in lower-income households’ demand for autos could be additive to an already resilient market.

For another, the strengthening in lower-income households’ spending growth is being reflected in stronger after-tax wage growth, which may over time give this cohort more confidence to make the large spending commitment buying a vehicle involves. For many lower-income households this will likely be their biggest financial commitment outside of housing costs.

Exhibit 9: Median monthly auto loan repayments are equivalent to around a quarter of lower-income households savings deposits

Median household auto loan payments relative to median household deposits, according to Bank of America customer deposit data (May-July 2026, %)

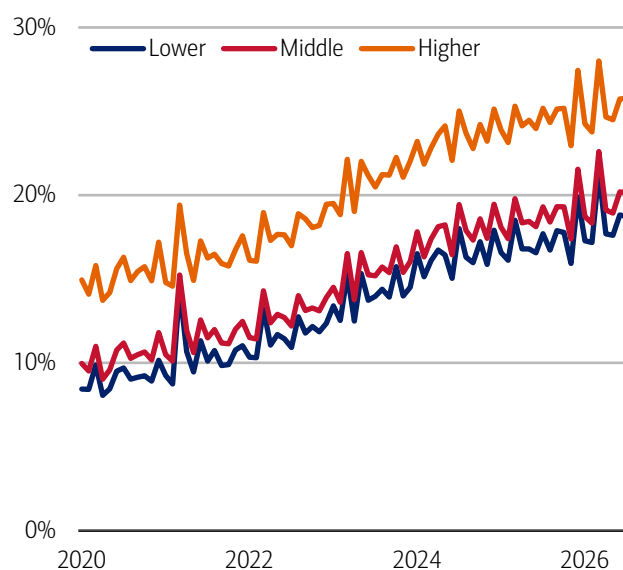


Source: Bank of America internal data

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Exhibit 10: All income cohorts have seen a rising share of monthly auto loans above \$1,000 a month

The share of households with a monthly auto payment over \$1,000 by income (monthly, %)



Source: Bank of America internal data

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Affordability may keep convergence in the slow lane

However, there may also be limits to how far and fast we can expect stronger demand from lower-income consumers for autos. The main issue here comes down to cost. While inflation in new car prices is currently fairly low (1.1% YoY in July), there was significant inflation following the pandemic. And there have been similar hikes in the cost of insuring and maintaining vehicles.

Interest rates on car loans also remain much higher than before the pandemic, reflecting higher Federal Reserve policy rates. For lower-income households, this makes the loan repayments in buying a new or used vehicle a big commitment. Exhibit 9 shows that in Bank of America customer deposit data, the median monthly auto loan repayment relative to deposits was around 25% in May-July 2026 for lower-income households, while it was much less for higher-income households.

Underlining this, we also find a rising share of all households, including lower-income ones, have auto loan repayments above \$1,000 a month (Exhibit 10). For some lower-income households worried about their finances, taking on new loan repayments that are relatively large might be a concern.

Overall, in our view the “K” in auto demand is likely to close more slowly than in other areas of consumer spending.

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Bank of America car loan origination data cut by income (exhibits 6 and 7) is assessed using customers' monthly income. Lower-income customers are classified as those with income below \$5,000 a month, middle-income customers with income \$5,000 to \$10,000 a month and higher-income customers with income above \$10,000 a month. Bank of America customers making large payments (above \$2,000) to auto firms and vehicle finance providers (exhibit 8) uses annual income cuts as follows: lower-income: below \$50,000 per year, middle-income: between \$50,000 to \$125,000, higher-income: above \$125,000. Other data uses the tercile approach above.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

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Economy

Consumer Checkpoint: The great convergence

11 August 2026

Key takeaways

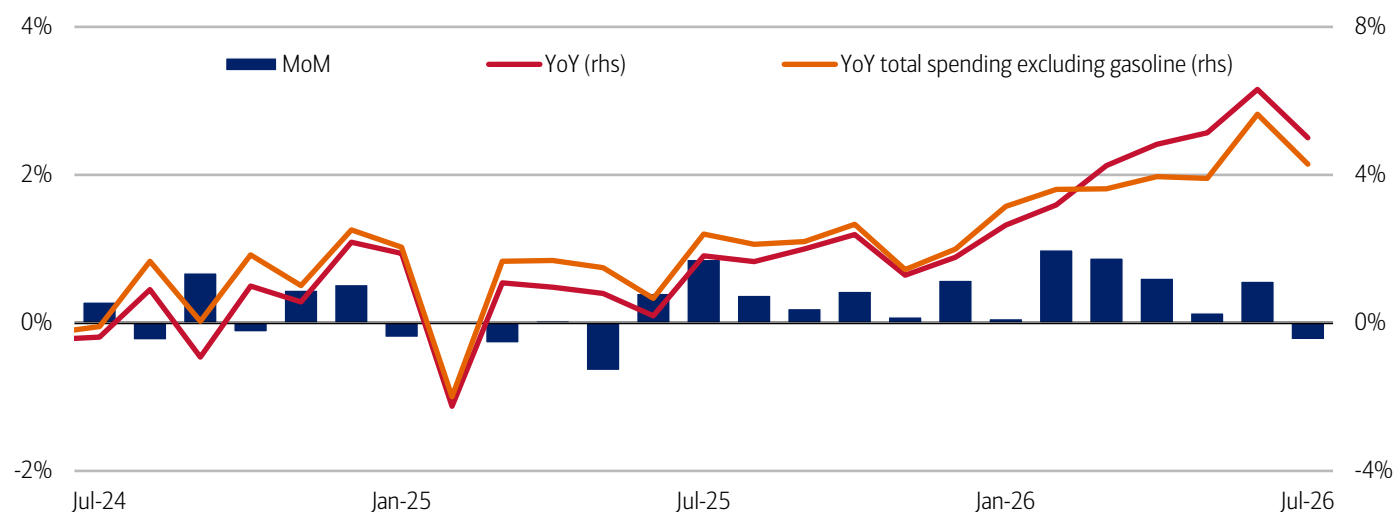
- Total card spending growth eased to 5.0% year-over-year (YoY) in July, from 6.3% in June, according to Bank of America internal data. But much of the moderation appears tied to the fading of temporary boosts (i.e., the timing of major online promotions and World Cup-related spending) rather than a broad deterioration in underlying demand. Spending ex-gas still rose a solid 4.3% YoY.
- What was once a "K"-shaped consumer is increasingly becoming one of convergence, with spending growth converging across income groups. The exception remains the top 5% of earners, where strong balance sheets and rising asset prices continue to support outsized spending growth.
- Against this backdrop, consumer financial health looks solid. Despite cost-of-living pressures from areas such as gasoline, the share of households paying off their credit card bills in full each month has risen. And there is little sign of an acceleration in households drawing upon their savings.

Spending growth eased in July as temporary boosts fell away

Consumer spending growth eased a little in July, but the overall picture remains robust. Bank of America total aggregated credit and debit card spending per household increased 5.0% year-over-year (YoY), cooling from 6.3% YoY in June but still a top three reading in the past three years and over four times the 2025 average (Exhibit 1). Excluding gasoline, total spending rose 4.3% YoY in July, down from 5.6% YoY in June, but still above May levels. And while seasonally-adjusted spending per household fell 0.2% month-over-month (MoM), this only partially erased the 0.6% increase observed in June.

Exhibit 1: Spending growth eased in July to levels seen earlier this year – both with and without gasoline factored in

Total card spending growth per household, based on Bank of America aggregated credit and debit card data (monthly, MoM%, seasonally adjusted (SA)) and (monthly, YoY%, non-SA, right-hand side (rhs))



Source: Bank of America internal data

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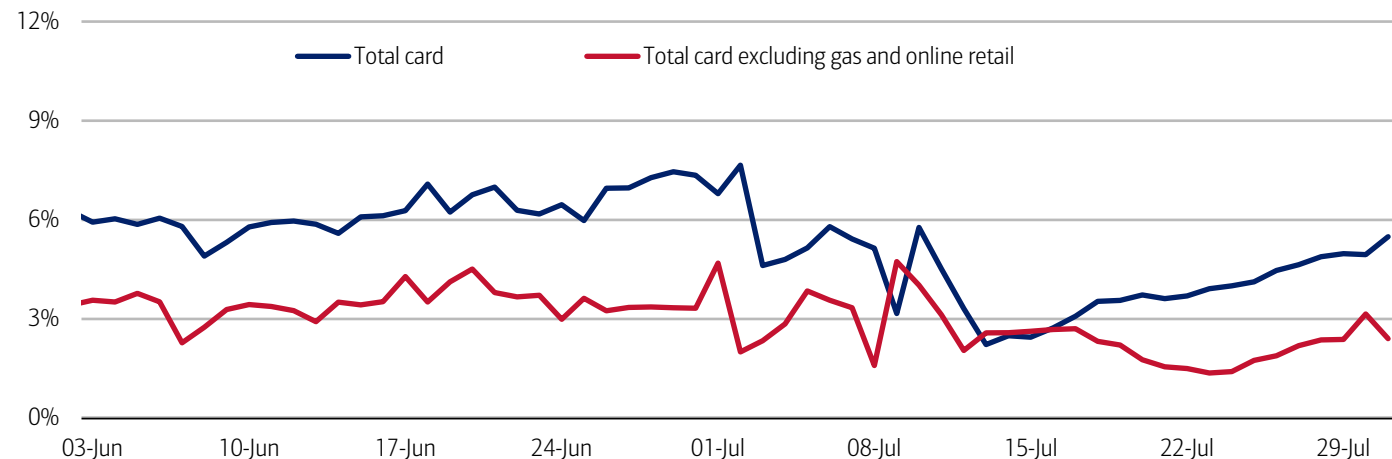
July's moderation in consumer spending growth was not surprising, as June spending was boosted by temporary factors. First, there was a timing mismatch in online promotions between 2026 and 2025, with online purchases pulled forward into June this year, whereas most occurred in July last year. Second, June was likely the peak of World Cup-related spending, so some cooling in

categories like restaurants and bars was to be expected. Third, fluctuations in global oil prices, and consequently gasoline prices, continued to affect total card spending, with gasoline spending easing somewhat in July.

However, even when we strip out gasoline and online retail purchases, Bank of America daily card data shows fairly consistent spending growth across the past two months (Exhibit 2). And although growth eased slightly in the middle of July, it recovered toward the end of the month.

Exhibit 2: Total card spending excluding gas and online retail decelerated by less than overall card spending in July

Total card spending compared to total card spending excluding gas and online retail (seven-day moving average, YoY%)



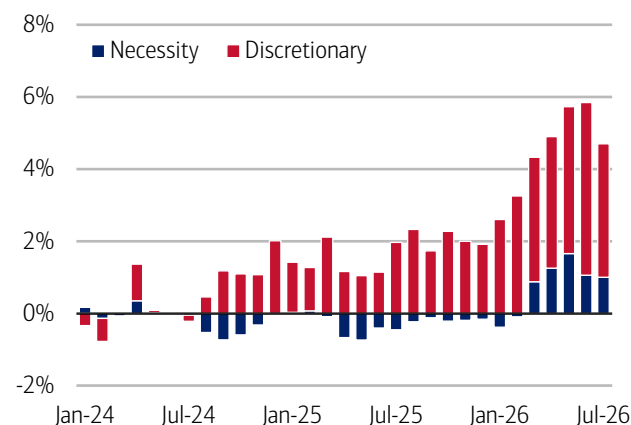
Source: Bank of America internal data

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While there was some easing in discretionary spending growth in July (Exhibit 3), in our view, this was largely driven by the online promotion timing mismatch, with services spending growing steadily (Exhibit 4).

Exhibit 3: Spending growth remained a discretionary story in July

Contribution to YoY total credit and debit card spending growth by category, based on Bank of America card data (monthly, SA, percentage points contribution)



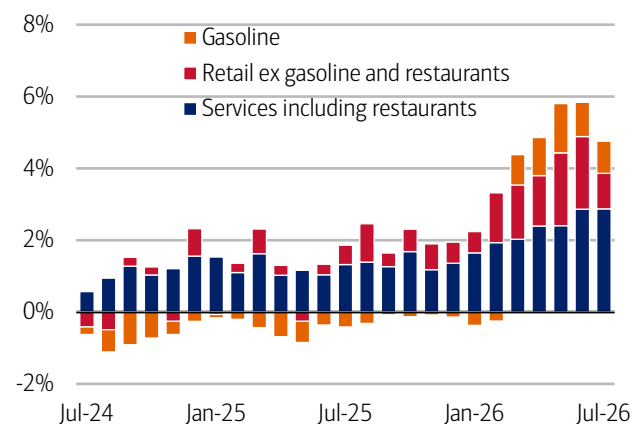
Source: Bank of America internal data

Note: Necessity spending includes gas, groceries and utilities. Discretionary spending is all other card spending.

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Exhibit 4: Services drove most of the overall YoY growth, while retail eased on timing mismatches

Contribution to YoY total credit and debit card spending growth by category, based on Bank of America card data (monthly, SA, percentage points contribution)



Source: Bank of America internal data

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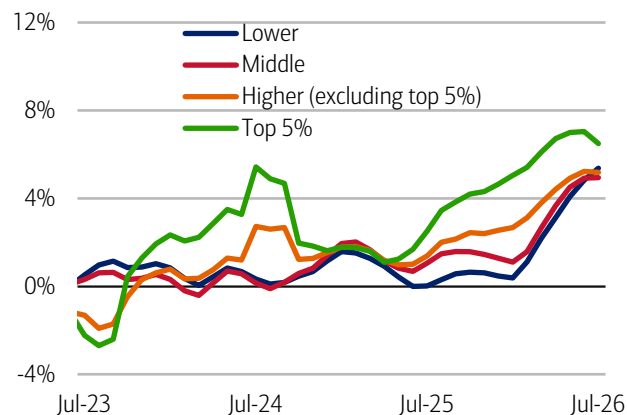
The Great Convergence

Over the past year, we have discussed at length the “K-shaped” divide between higher- and lower-income households’ spending and wage growth. But since May, our data has shown a significant narrowing in this gap. In fact, as of July, spending and wage growth have largely converged across income cohorts, with the exception of the top 5% of earners, who continue to outpace the rest.

Looking across income groups, lower-income households' spending growth rose 5.4% YoY in July, while middle-income households slightly lagged, with an increase of 4.9% YoY (Exhibit 5). A similar dynamic was evident in discretionary spending (Exhibit 6).

Exhibit 5: Total card spending converged further across income groups in July

Total card spending per household by income terciles and the top 5% (three-month moving average, YoY%, SA)

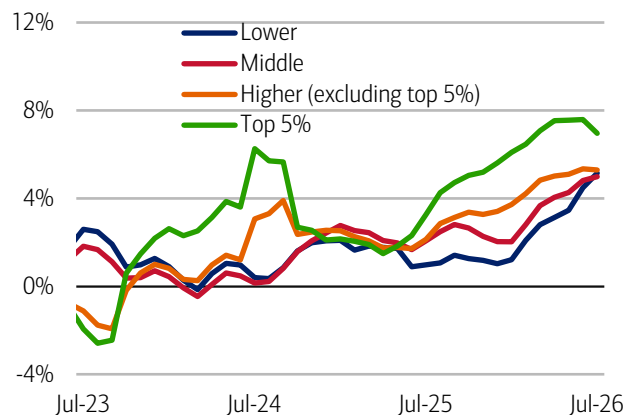


Source: Bank of America internal data

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Exhibit 6: Discretionary spending also converged across income groups

Discretionary card spending per household by income tercile and the top 5% (three-month moving average, YoY%, SA)



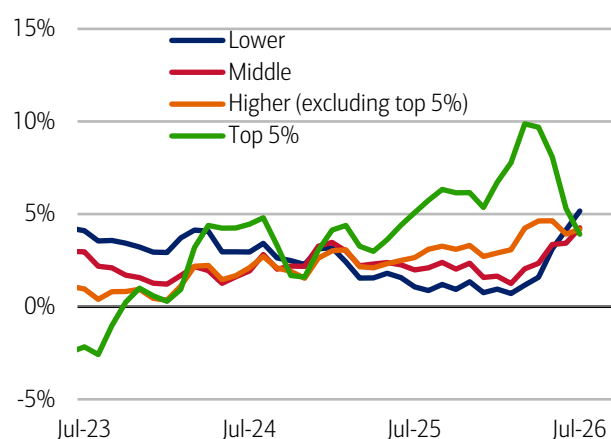
Source: Bank of America internal data

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In our view, one factor behind the narrowing spending growth gap is stronger after-tax wage growth. For lower- and middle-income households, after-tax wage growth rose to 5.2% YoY and 4.2% YoY, respectively, in July (read more in [The Institute Employment Report: July 2026](#)) (Exhibit 7). These gains in wage growth have left lower- and middle-income households looking more “balanced,” with a narrower gap between spending and wage growth. In fact, that gap has effectively disappeared for lower-income households (Exhibit 8).

Exhibit 7: In July, after-tax wage growth for lower-income households surpassed that of higher-income for the first time since December 2024

After-tax wage and salary growth by household income terciles (three-month moving average, YoY%, SA)

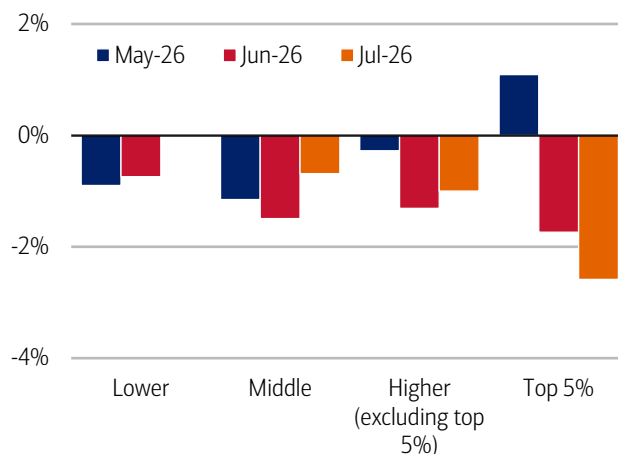


Source: Bank of America internal data

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Exhibit 8: Spending growth for the top 5% of earners outpaced after-tax wage growth for the second month in a row

After-tax wage growth minus spending growth (three-month moving average, percent difference)



Source: Bank of America internal data

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The equity market is likely still supporting higher-income households' spending growth for now

Looking specifically at the top 5% of households by income, we see something starkly different from the convergence seen elsewhere: a widening gap between their still-strong spending growth and easing wage growth (Exhibit 8).

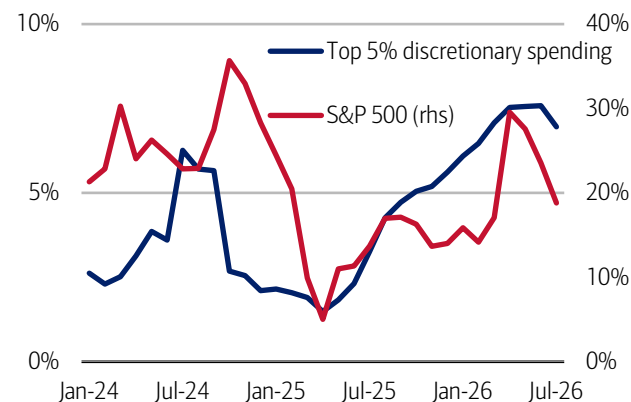
In our view, the decline in after-tax wage growth in this top 5% cohort is likely to be largely due to the fading impact of strong bonus payments earlier in the year. At the same time, their continued strong card spending is likely being driven by the wealth

effect from higher equity prices. This is especially true given the ongoing market strength, as equity ownership is skewed towards those with higher incomes: the S&P 500 was up nearly 20% YoY in July (Exhibit 9).

Some of this wealth effect likely also supports spending among a broader cohort of households through the impact of rising equity values on retirement accounts. Internal data on Bank of America 401(K) plan participants shows that average balances were significantly higher in the second quarter of 2026 than over the past few years (Exhibit 10 and read more in [Bank of America's 2026 Q2 Participant Pulse](#)). However, the wealth effect from retirement accounts may not be as significant as the effect from increases in investments made in more liquid forms of assets, such as directly held equities.

Exhibit 9: The S&P 500 was up over 20% YoY in July, possibly supporting spending growth of the top 5% of earners

Discretionary card spending growth of the top 5% of households by income (three-month moving average, YoY%) and the S&P 500 (monthly, YoY%)

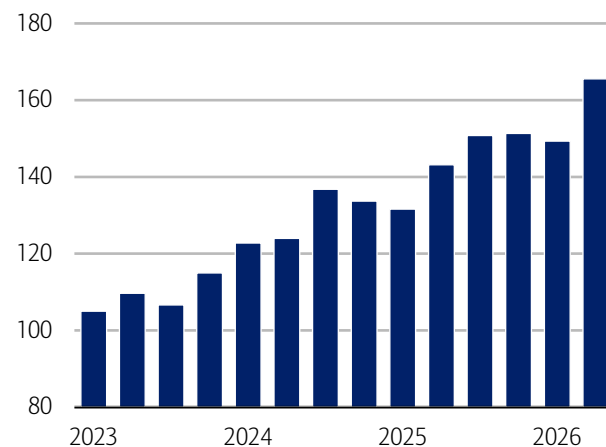


Source: Bank of America internal data

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Exhibit 10: Average 401K balances increased significantly in the second quarter of 2026

Average account balances for Bank of America 401(k) plan participants (quarterly, index Q4 2022 = 100)



Source: Bank of America internal data

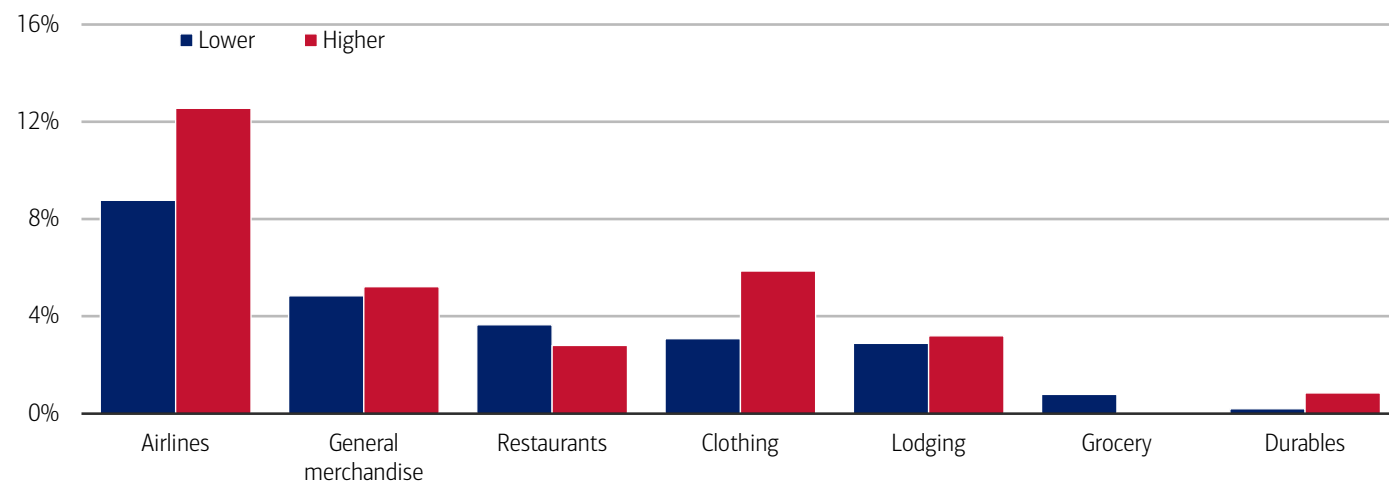
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Airlines, lodging and clothing see the largest convergences

Despite the broader convergence in spending and wage growth across income cohorts, some categories remain exceptions. While Bank of America card data suggests higher-income households' spending growth is still slightly outpacing lower-income cohorts in general merchandise, lodging and durables (excluding electronics), the gap is most prominent in airlines and clothing (Exhibit 11).

Exhibit 11: Higher-income households' spending growth is still significantly outpacing lower-income households in airlines and clothing

Spending across select categories by lower- and higher-income households (three-month moving average through July 2026, YoY%)



Source: Bank of America internal data

Note: Durables includes building materials, furniture and auto shops, but excludes electronics.

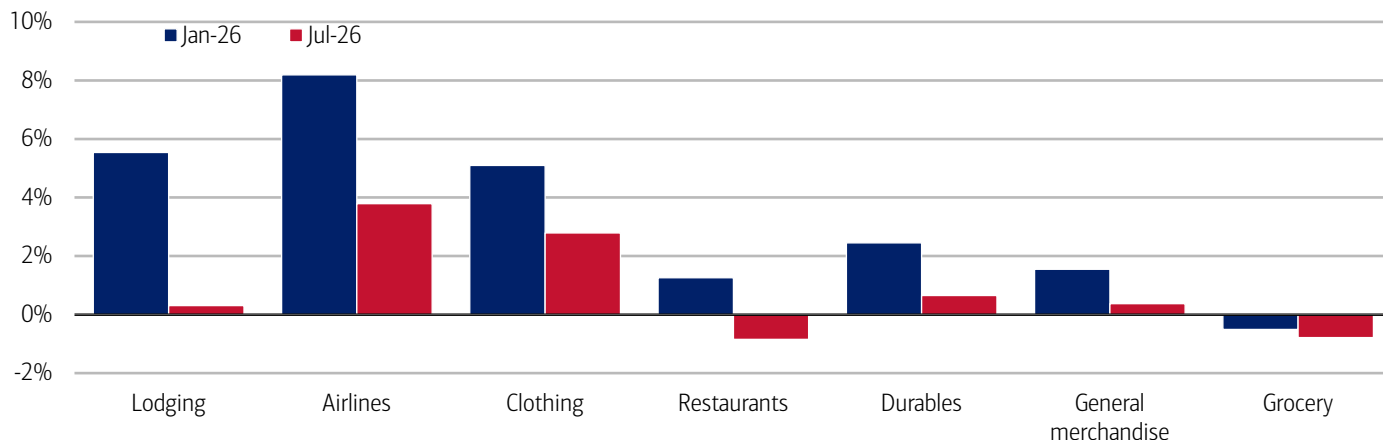
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Still, even while these large spending gaps persist in clothing and airlines, lower-income households have made significant progress in narrowing them over the past six months (Exhibit 12). And the gap has also narrowed meaningfully in lodging, durables and general merchandise stores.

Conversely, lower earners now outpace higher earners in restaurant spending growth. Also, some of the narrowing – especially in clothing and lodging – is due to easing spending growth from higher-income households over the past two months.

Exhibit 12: The spending gap between lower- and higher-income households has narrowed the most in lodging, airlines, and clothing

Spending growth gaps between higher- and lower-income households (three-month moving average to January and July 2026, percentage point difference)



Source: Bank of America internal data

Note: Durables includes building materials, furniture and auto shops, but excludes electronics.

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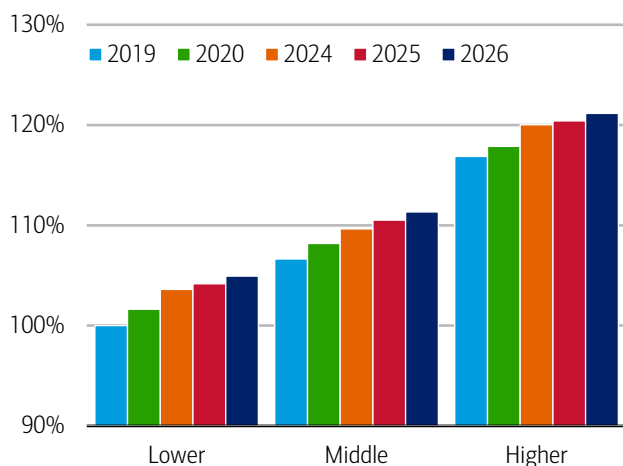
Consumers generally remain in good credit and deposit health

The current closing of the “K” is, in our view, likely a positive for overall consumer spending. This is particularly the case as the convergence in spending growth appears to be largely upwards, with lower- and middle-income households narrowing the gap towards higher-income peers.

More broadly, the overall financial position of households continues to look strong. For example, Bank of America credit card data suggests that a higher share of households are paying off their full credit card balances each month across all income cohorts (Exhibit 13). While the share making only minimum payments has also increased, the rise is relatively small (Exhibit 14).

Exhibit 13: The share of households paying off their full credit card balance each month has increased for all income groups

Share of households who pay off their full credit card balance each month by household income tercile (May through July yearly, index lower-income households' 2019 average = 100%)

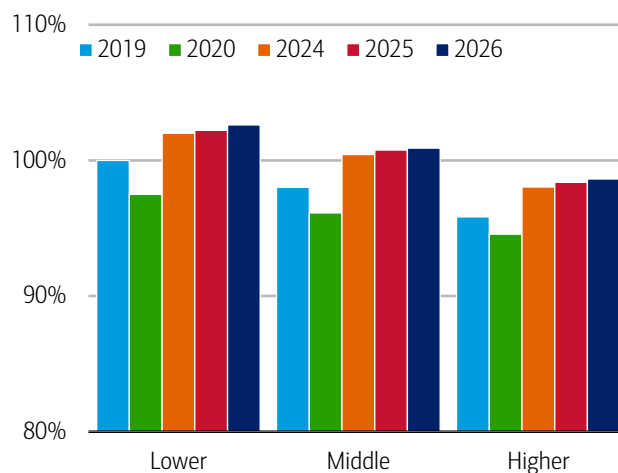


Source: Bank of America internal data

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Exhibit 14: The share of minimum credit card payers has increased in 2026, though at a slower pace than last year

The share of households making minimum credit card debt payments by household income tercile (May through July yearly, index lower-income households' 2019 average = 100%)



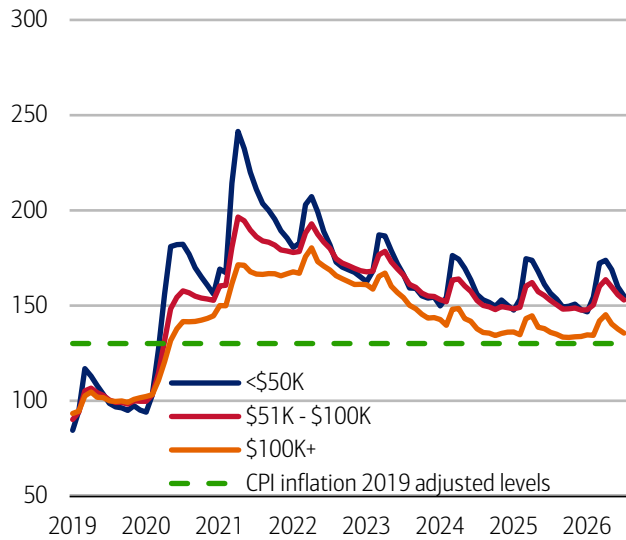
Source: Bank of America internal data

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Following larger tax refunds in 2026, savings and deposits remain elevated across income cohorts, with no signs of a significant acceleration in their drawdown (Exhibit 15 and Exhibit 16).

Exhibit 15: Household savings remain elevated compared to inflation-adjusted 2019 levels...

Monthly median household savings and checking balances by income for a fixed group of households through July 2026 (monthly, index 2019 = 100) compared to the 2019 inflation adjusted level (June 2026, index 2019 = 100)

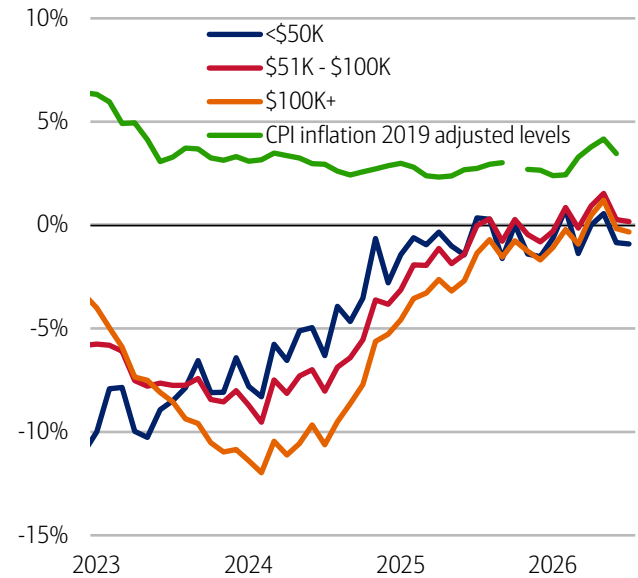


Source: Bank of America data, Bureau of Labor Statistics (BLS)
Note: Consumer Price Index (CPI) inflation data is from the CPI All Items Series produced by the BLS. October and July values were unavailable at the time of publication.
Note: Monthly data includes those households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through July 2026.

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Exhibit 16: ...and are only seeing marginal declines YoY

Monthly median household savings and checking balances by income for a fixed group of households through July 2026 (monthly, YoY%) compared to CPI inflation (monthly, YoY%)



Source: Bank of America data, BLS
Note: CPI inflation data is from the CPI All items series produced by the BLS. October and July 2026 values were unavailable at the time of publication.

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Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under \$5mm in annual sales revenue.

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Economy

On the ball: World Cup 2026 final score

06 August 2026

Key takeaways

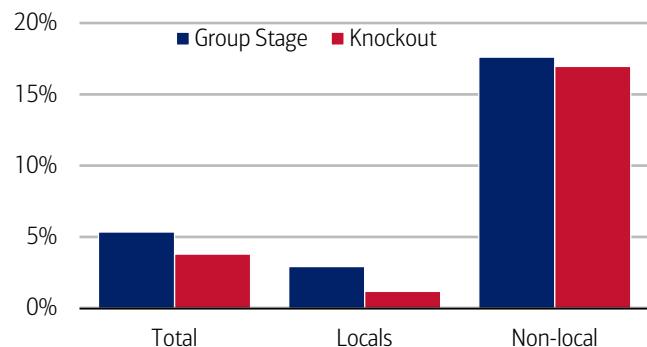
- The FIFA World Cup 2026™ boosted local spending, led by traveling fans, according to Bank of America credit and debit card data. Over the tournament, card spending in host cities rose around 5% year-over-year (YoY), with the strongest gains coming from non-locals, whose spending was up more than 17% YoY. Restaurants and bars were the clearest beneficiaries as fans splashed out on hospitality.
- Kansas City got the golden boot, recording a 7% rise in card spending. But gains were broadly shared across host cities, with Philadelphia, Los Angeles, Miami and New York/New Jersey also enjoying substantial boosts. Host cities generally experienced stronger growth in restaurant and bar spending than non-host cities, particularly during the knockout stages.
- For small businesses in these host cities, we find that local hotels as well as restaurants and bars in Los Angeles, Kansas City, Boston, New York/New Jersey and San Francisco all saw relatively stronger sales in June. And while the World Cup clearly gave a lift to local economies, the effect on overall US consumer spending and GDP appears to have been more modest. This reflects the sheer size of the US and a likely reallocation of spending from non-host to host cities.

Host cities got an economic assist from the World Cup

When the final whistle blew on the FIFA World Cup 2026™, the tournament had already secured a place in the record books. The expanded tournament across the US, Mexico and Canada lasted 39 days and took place across 16 host cities. Across the 104 games, FIFA stated that 6.8 million fans saw a live match in one of the host venues, while 9 million visited the official Fan Festivals. The tournament also reached billions through social media. And the final between Spain and Argentina was the most watched soccer match in US history.

Exhibit 1: The FIFA World Cup 2026™ gave large spending boosts to host cities, particularly due to visiting fans

Aggregated point-of-sale (PoS) credit and debit card spending in World Cup host cities for locals and non-locals (group stage data from June 10 - June 28, 2026, knockout stage data from June 28 - July 20, % year-over-year (YoY))



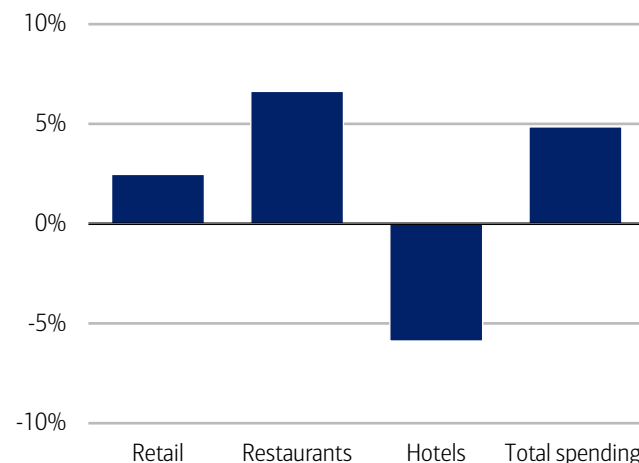
Source: Bank of America internal data

Note: Non-local refers to customers spending outside their home CBSA (core based statistical area).

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Exhibit 2: Spending rose sharply at restaurants and bars during the World Cup

Aggregated PoS credit and debit card spending in World Cup host cities by category (June 10 - July 20, % YoY)



Source: Bank of America internal data

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Beyond the goals, trophies and sold-out stadiums, the World Cup also provided a useful test of how major sporting events translate into local spending gains. To answer this question, we utilize Bank of America aggregated credit and debit card in-person (“point-of-sale”) spending data, which gives insight into how the spending of US households changed over the tournament.

Exhibit 1 shows that during the group stage of the World Cup, total card spending in host cities rose a solid 5% YoY. The boost then eased during the knockout stage, likely due to fewer games being played. Additionally, in our view, it was probably harder for a fan to plan where to be for those games, as they could not be sure their favorite teams would progress or where they’d be playing.

The boost to spending in host cities came primarily from “non-locals” (i.e., visitors spending outside their home city), with out-of-town spending rising more than 17% YoY. Our data captures spending by US consumer rather than overseas visitors, so it appears that the tournament did indeed encourage many Americans to travel to games, bringing their spending power to the host cities. This is consistent with the Bank of America 2026 Summer Travel Outlook survey, which found that around 40% of respondents were planning on experiencing soccer over the summer (for more read our report: [Summer Travel 2026: Resilient, but uneven](#)).

Which sectors topped the scoring charts? Exhibit 2 shows that the biggest beneficiaries appeared to be restaurants and bars – perhaps not surprising given drinks, burgers and hotdogs often accompany spectator sports. Indeed, FIFA states that 675,000 hot dogs were consumed over the tournament, along with 5.5 million beers. Perhaps more surprising in our data is that we did not observe a boost to hotel spending over the whole tournament. In our view, this may be because people had booked and paid well ahead of their visits.

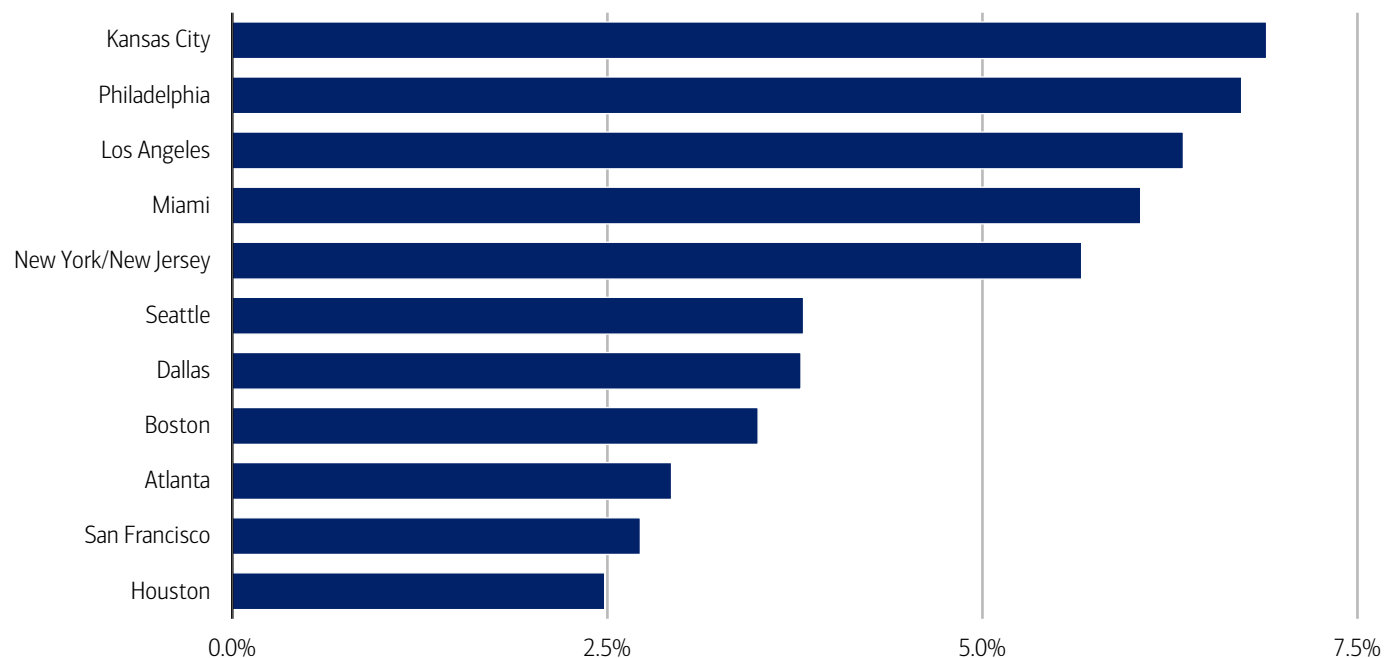
The biggest winner? Kansas City

Every tournament has a surprise player. In spending terms, Kansas City may have been this World Cup’s standout performer, seeing around a 7% YoY increase in card spending. To some extent this probably reflects that Kansas City is a smaller city, with a population of 2.4 million in the metro area, so the influx of visiting fans had an outsized boost. Kansas City also had four teams based there – one of the few host cities with four major teams – including two that made the semis (Argentina and England). Philadelphia, Los Angeles, Miami and New York/New Jersey (NY/NJ) also all received large boosts over the tournament.

It’s worth noting that some cities, for example Dallas, Atlanta, Miami and New York/New Jersey (NY/NJ), had longer tournaments, as they were hosts in the semis, final and bronze final, which may have supported spending in these areas for longer.

Exhibit 3: Kansas City saw the largest boost to spending over the tournament

Aggregated PoS credit and debit card spending in US World Cup host cities (June 10 - July 20, % YoY)



Source: Bank of America internal data

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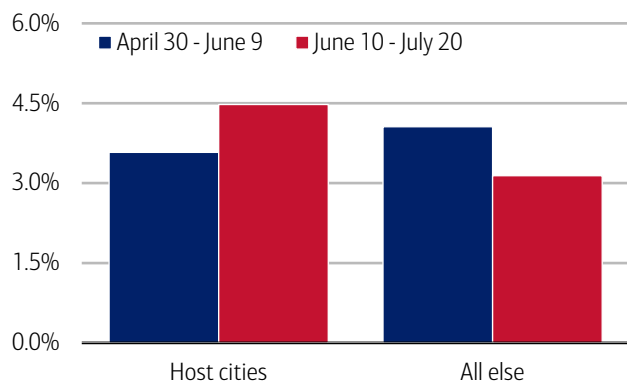
Winning on home turf

To get a real sense of the incremental boost to spending that local host cities enjoyed over the tournament it's important to compare them to cities that did not host games. Exhibit 4 looks specifically at brick and mortar (B&M) restaurant and bar spending over the tournament compared to the period before. It confirms that host cities saw spending growth in this area strengthen relative to the period before the tournament, while this trend was not generally seen elsewhere.

And if spending growth had a player-of-the-match award, younger consumers would be strong contenders. Exhibit 5 shows that the increases in spending in host cities over the tournament skewed towards Gen Z and Millennials. Similarly, we previously found that the boosts to spending were particularly pronounced among lower-income households (for more read: [Consumer Checkpoint: Consumers hit the back of the net](#)).

Exhibit 4: Host cities saw a clear boost to spending on food and drink compared to other cities....

B&M credit and debit card spending growth on restaurants and bars (YoY) in World Cup host cities* and other cities over April 30 - June 9 compared to June 10 - July 20 (% YoY)



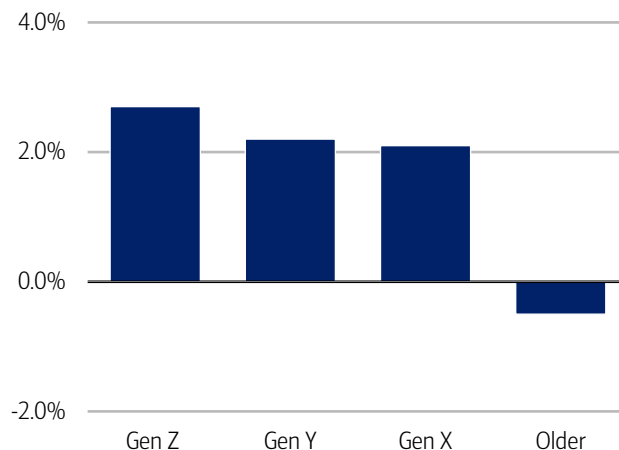
Source: Bank of America internal data

Note: Spending includes only B&M transactions. We have excluded transactions from the analysis that do not have a valid ZIP code. *Host cities in this analysis were limited to those in the US.

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Exhibit 5: ...with younger gens carrying the ball

The change in B&M credit and debit card spending growth in World Cup host cities* relative to other cities between April 30 - June 9 and June 10 - July 20 (percentage points)



Source: Bank of America internal data

Note: *Host cities in this analysis were limited to those in the US.

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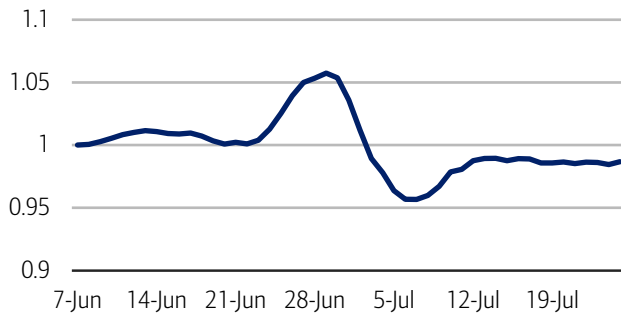
The impact of domestic spending on the US economy likely peaked in late June

Did these local boosts to spending over the World Cup have a strong impact on the US economy?

The answer here is less clear. The relative strength of card spending in host cities compared to other places peaked by the end of June and began to wane as we entered July (Exhibit 6), consistent with most of the boost coming over the group stages. So, any boost to the US economy likely peaked around this time and lessened thereafter.

Exhibit 6: The spending lift in host cities had run its course by early July

Credit and debit card B&M spending on retail (excluding gasoline) and restaurants in host cities* relative to everywhere else (seven-day moving average, index June 7 = 1)



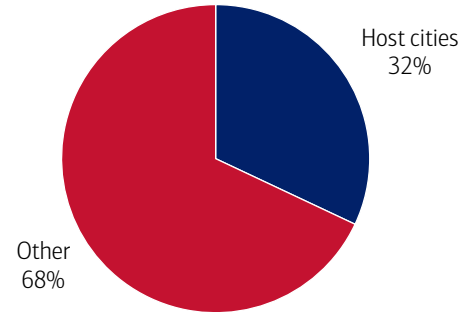
Source: Bank of America internal data

Note: *Host cities in this analysis were limited to those in the US.

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Exhibit 7: Host cities account for around a third of US GDP

Share of host cities in overall US nominal GDP (2023 %)



Source: Haver Analytics

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The US is also a huge economy and the share of GDP covered by the cities hosting games, while significant, was not overwhelming – around a third as of 2023 (Exhibit 7), so it's hard for local spending boosts in these cities to “move the needle” on the overall economy. Some of the increase in spending in host cities from visitors elsewhere in the US may also have reflected reallocations of spending away from non-host areas, rather than an overall boost to aggregate domestic spending.

Still, in Bank of America card data we did see a 0.6% month-over-month (MoM) rise in seasonally-adjusted total card spending in June, with an increase of 0.7% MoM in restaurant and bar spending. Both of these increases were larger than the respective average MoM increases over the previous three months, suggesting some modest upward impact from domestic spending.

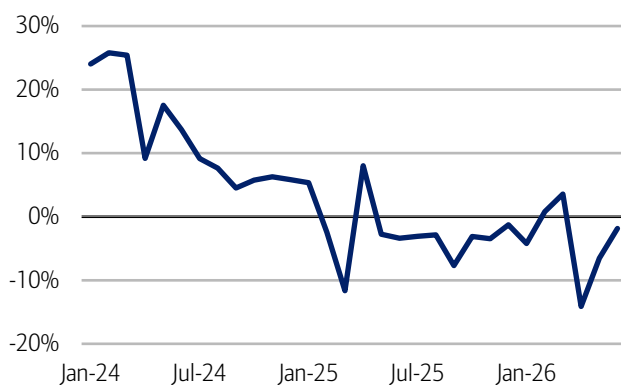
Overseas visitor numbers likely skewed towards the action

Another piece of the puzzle is whether overseas visitors provided a boost to the economy alongside that of US consumers.

Exhibit 8 shows that preliminary data from the National Travel and Tourism Office suggests that overall overseas visitor numbers to the US were not particularly strong in May or June on a YoY basis. In fact, overseas visitor numbers into the US have been fairly flat for some time.

Exhibit 8: There was no notable rise in overseas visitors to the US in May or June

Overseas (excluding Mexico and Canada) visitor numbers to the United States (monthly, % YoY)

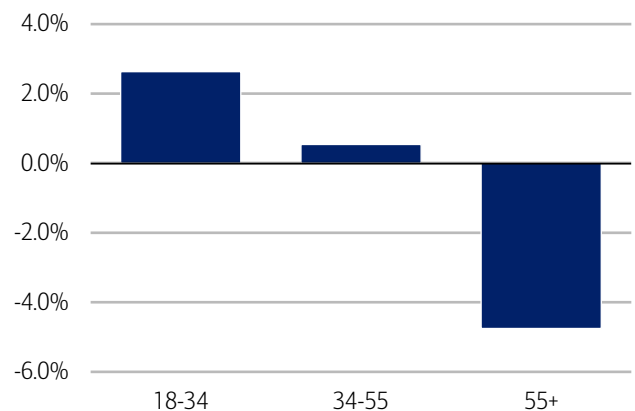


Source: National Travel and Tourism Office

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Exhibit 9: But visitors skewed younger

Overseas (excluding Mexico and Canada) visitor numbers to the United States by age (June 2026, % YoY)



Source: National Travel and Tourism Office

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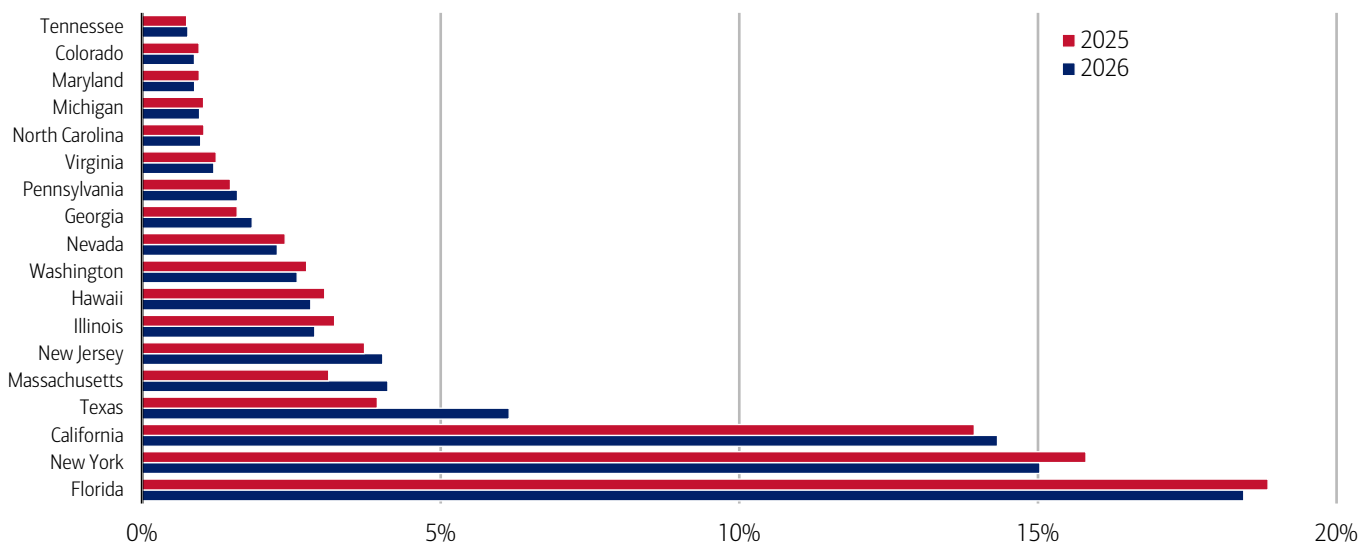
But the data does suggest that overseas visits in June were likely skewed by the World Cup and therefore still likely a boost to host cities.

For one, overseas visitor growth in June was up for younger people but down for older people (Exhibit 9), consistent with a more youthful audience for the soccer games. And, for another, it appears there was some shift in the share of places visited towards

World Cup-heavy states. Texas and California, two host states, saw a notable rise in their share of visits, while non-hosting states Illinois and Nevada saw declines (Exhibit 10).

Exhibit 10: Texas and California, each with two host cities, saw rises in visitor share

Share of overseas (excluding Mexico and Canada) visitor numbers to the United States by state (June 2026, %)



Source: National Travel and Tourism Office

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Small businesses see boost in sales in host cities

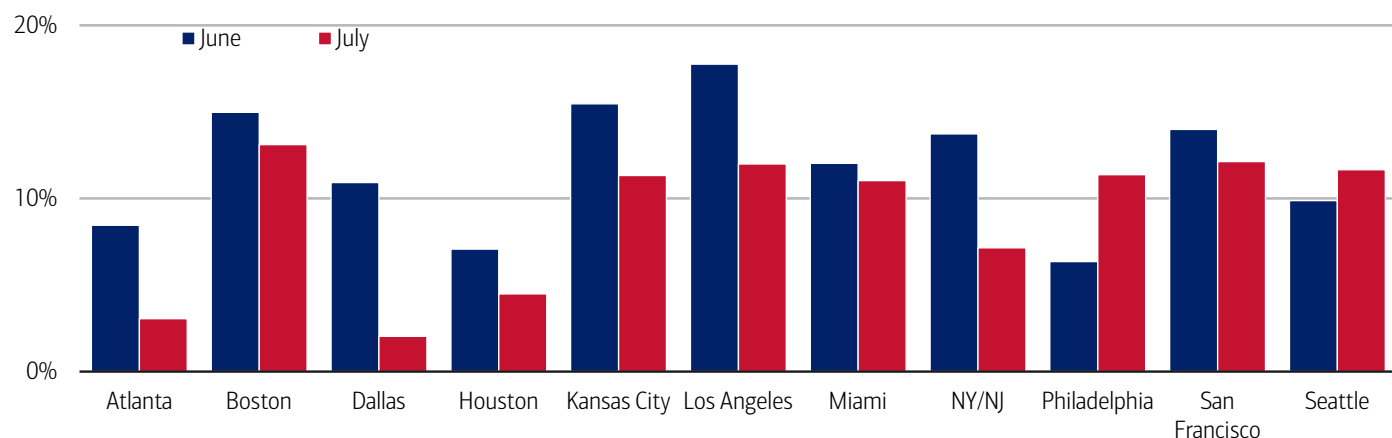
One way to look at the impact of *both* domestic and international visitors' spending in host cities over the World Cup is through Bank of America small business inflows data.

Looking at consumer-facing small businesses such as local hotels, bars and restaurants, we find a jump in sales growth in June and July across all host cities in the United States, though June saw greater growth than July in all cities except Philadelphia and Seattle (Exhibit 11). And reflective of the strong consumer spending growth seen there, Kansas City saw relatively strong growth compared to other host cities.

So, overall, in our view a successful tournament on the field likely had a big economic impact on the host cities, helping support local business in those areas, and a modestly positive one for the overall US economy.

Exhibit 11: In June, Los Angeles, Kansas City and Boston saw the greatest small lodging and restaurant/bars sales growth

Accommodation and food and drinking places in select host cities* sales income per small business client (monthly, YoY%)



Source: Bank of America internal data

Note: Sales income is measured by inflows from merchant channels. *Host cities in this analysis were limited to those in the US.

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Methodology

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Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under \$5mm in annual sales revenue.

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The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

Transactions and spending associated with the FIFA World Cup 2026™ are based on data aggregated point-of-sale credit and debit card spending in CBSA's (core based statistical areas) associated with tournament stadiums.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Transactions and spending associated with the FIFA World Cup 2026™ are based on data aggregated point-of-sale credit and debit card spending in CBSA's (core based statistical areas) associated with tournament stadiums.

Additional information about the methodology used to aggregate the data is available upon request.

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Disclosures

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Economy

The Institute Employment Report: July 2026

05 August 2026

Key takeaways

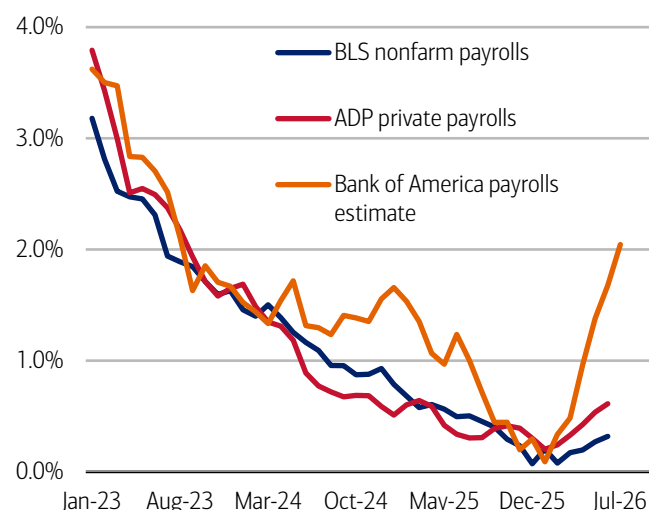
- Bank of America customer deposit account data suggests labor market momentum strengthened further in July, with estimated payroll growth accelerating to 2.0% year-over-year (YoY), up from 1.7% in June.
- Job growth was led by lower-income households, while unemployment payments into customer accounts remained subdued, pointing to continued labor market resilience.
- Lower-income households saw after-tax wage growth accelerate to 5.2% YoY in July, surpassing higher-income households for the first time since December 2024, potentially aided by increased job switching and lower tax withholdings. Still, despite the strength in "regular" employment, the share of workers supplementing their income with gig work was up 0.4 percentage points YoY in June.

July's job growth shows further acceleration

Our estimate of job growth – which uses Bank of America deposit data to track changes in the number of customer accounts receiving a paycheck (see Methodology) showed an acceleration in job growth to 2.0% year-over-year (YoY) in July, up from 1.7% in June. The data can be noisy, partly due to seasonal variation and differences in pay-period timing, but in our view, this suggests the labor market has been faring very well over the summer (Exhibit 1).

Exhibit 1: July payroll growth accelerated further in Bank of America deposit account data

Payroll estimates from Bank of America customer deposit account data (three-month moving average, % YoY), the Bureau of Labor Statistics (BLS) and Automatic Data Processing (ADP) (monthly, YoY)



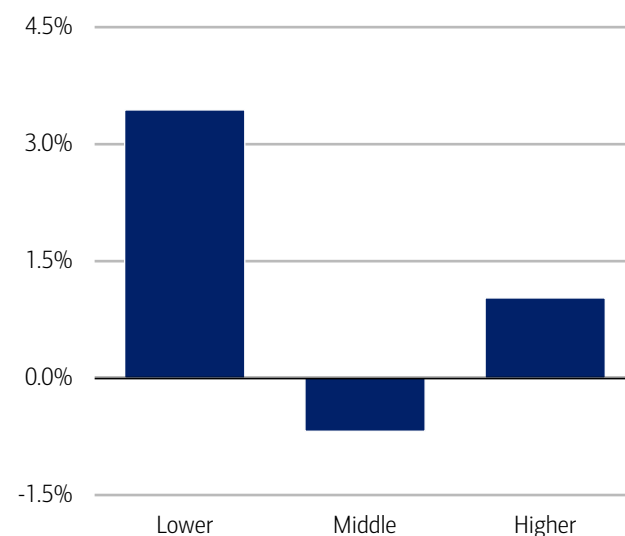
Source: Bank of America internal data, Haver Analytics

Note: BLS and ADP data are seasonally adjusted, Bank of America data is not seasonally adjusted.

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Exhibit 2: The strongest job growth appears to be at the lower-income end of the income distribution

Payroll estimates from Bank of America customer deposit account data by household income tercile (July 2026, three-month moving average, % YoY)



Source: Bank of America internal data

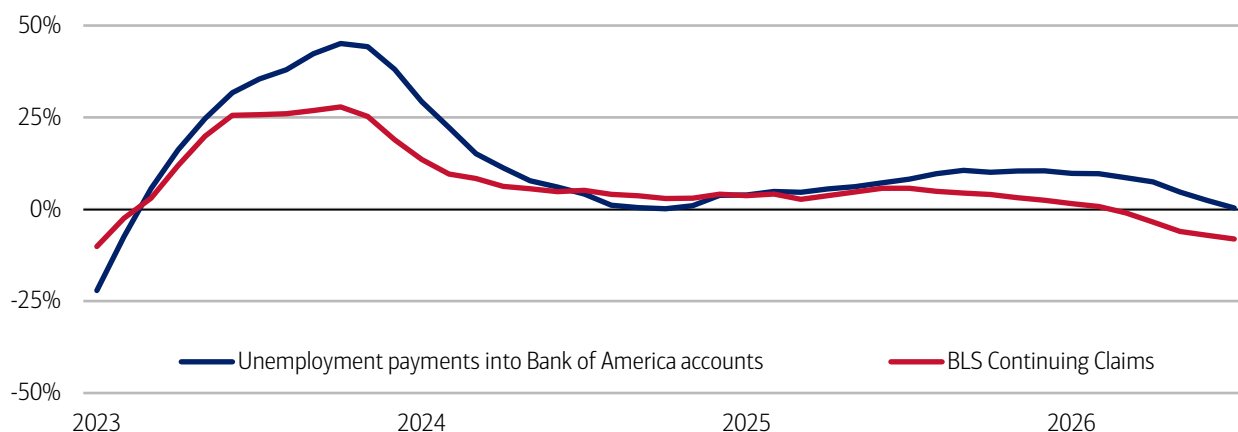
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When we split Bank of America job growth data by household income tercile, we find that job growth in July was strongest among lower-income households. There was positive, but weaker, growth among higher-income households, but interestingly, for middle-income households, we actually observed a small decline in jobs (Exhibit 2).

That said, this picture of a fairly robust labor market overall is also supported by Bank of America data on unemployment payments into customer accounts. In July the YoY growth of this measure was flat (Exhibit 3).

Exhibit 3: Unemployment payment growth was flat in July, according to Bank of America consumer deposit data

Number of households receiving unemployment payments (three-month moving average, YoY%, not seasonally adjusted (NSA)) and Bureau of Labor Statistics (BLS) Continuing Claims (three-month moving average, YoY%, seasonally adjusted (SA))



Source: Bank of America internal data, Bloomberg

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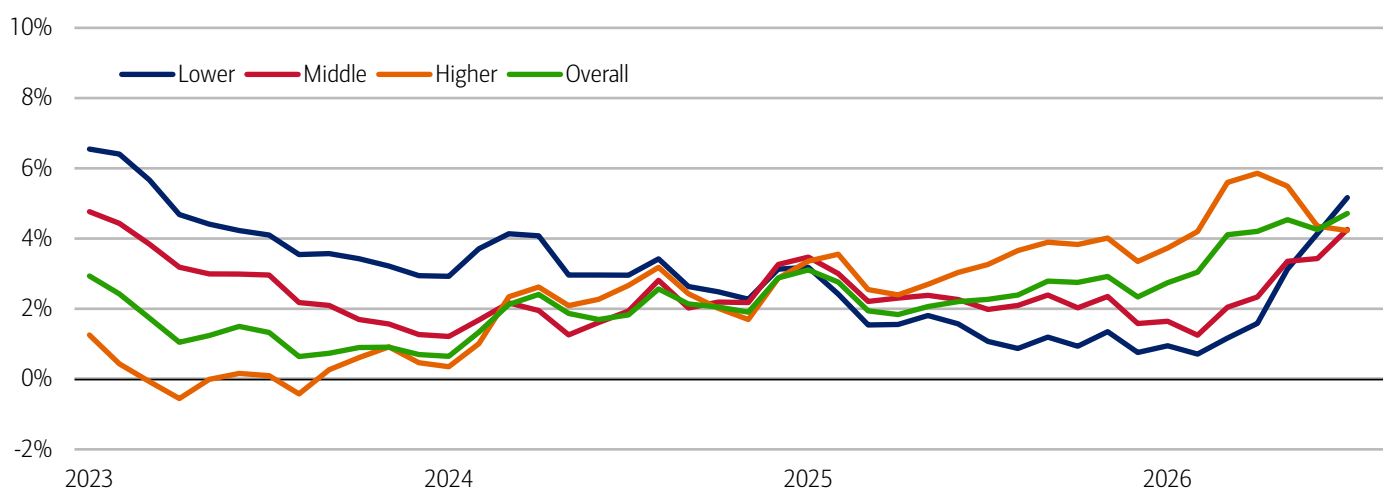
After-tax wage growth developments mirror the lower-income jobs story

The strength in lower-income households' job growth appears consistent with Bank of America data showing a strong recovery in after-tax wage growth among that cohort. In July lower-income households saw their after-tax wage growth accelerate to 5.2% YoY – the highest rate since March 2023 – and surpassing the 4.2% YoY growth among higher-income households for the first time since December 2024. Meanwhile, middle-income households' after-tax wage growth rose to 4.3% YoY, also slightly ahead of higher-income households (Exhibit 4).

What's driving the pick-up in after-tax wage growth among lower-income households? Alongside strong job growth, we have also observed a rise in job-to-job movements (read: [The Institute Employment Report: June 2026](#)), which could be disproportionately boosting lower-income pay growth. But beyond labor market dynamics, it is also possible that households reduced their tax withholdings this year following the One Big Beautiful Bill Act (OBBA), boosting their take-home pay.

Exhibit 4: In July, after-tax wage growth among lower-income households surpassed that of higher-income households for the first time since December 2024

After-tax wage and salary growth by household income terciles, based on Bank of America aggregated consumer deposit account data (three-month moving average, YoY%, SA)



Source: Bank of America internal data

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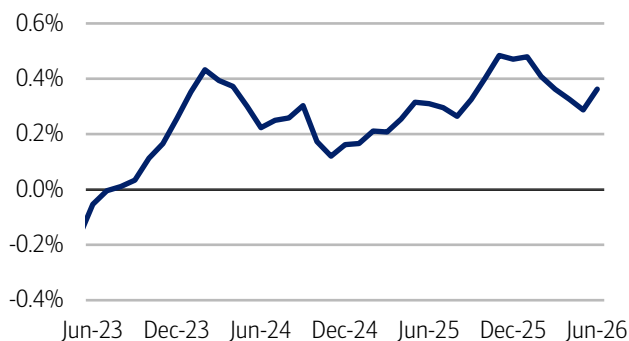
More people are taking on gig work as a second source of income

It's also possible lower-income and middle-income households might have adjusted their tax withholdings due to cost-of-living pressures, not least from rises in the price of gasoline. Interestingly in Bank of America deposit account data we see another potential labor market manifestation of this pressure: the share of customers receiving gig income rose for the better part of three years (Exhibit 5). Moreover, in June 2026 the share ticked back up, despite the strength in the "regular" labor market.

One explanation for this continued increase is that gig work tends to skew younger, and Gen Z has been facing a relatively tougher job market for new entrants (read more on this in August's publication: [The Gen Z reality check](#)). Also telling is that there has been a broad-based increase in the share of customers already employed *and* receiving gig income (Exhibit 6). In our view, this highlights that despite a solid labor market some households are using gig to "top up" their regular paycheck.

Exhibit 5: The share of gig workers has ticked back up in June after moderating for five months

Share of customers with gig work (percent difference from previous year, monthly, three-month moving average)

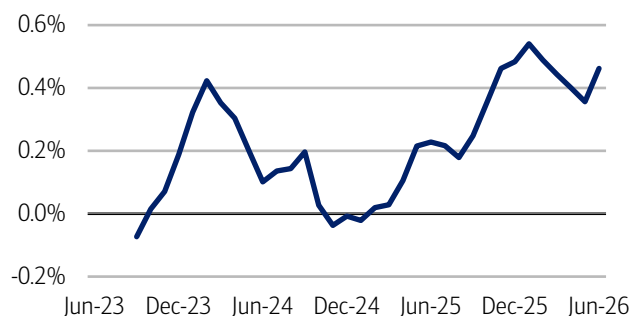


Source: Bank of America internal data

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Exhibit 6: There has been an increase in the share of customers already employed and receiving gig income

Share of customers receiving direct deposits and have gig income (percent difference from previous year, monthly, three-month moving average)



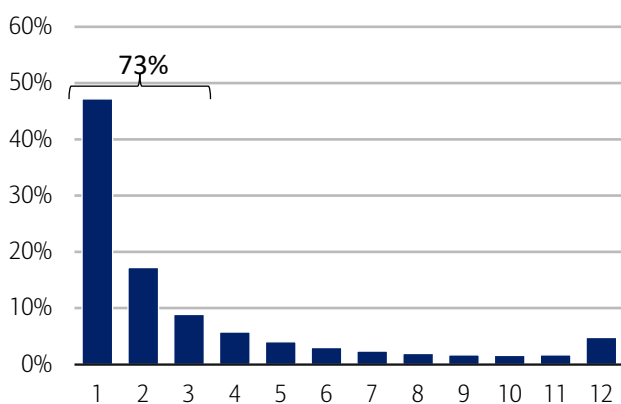
Source: Bank of America internal data

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For many workers, gig may be a fairly infrequent recourse when things are tight. This use of gig work to "top up" regular primary income is also consistent with Bank of America data showing that for June 2026 nearly half of gig workers only earned income from this type of work one month in the past year, while almost 74% of gig workers did three months or less (Exhibit 7).

Exhibit 7: Nearly half of gig workers only received income one month of the year, while almost 73% received income three months or less in the past year

Percentage share of gig workers by number of months worked in the past twelve months from June 2026 (count of months, %)

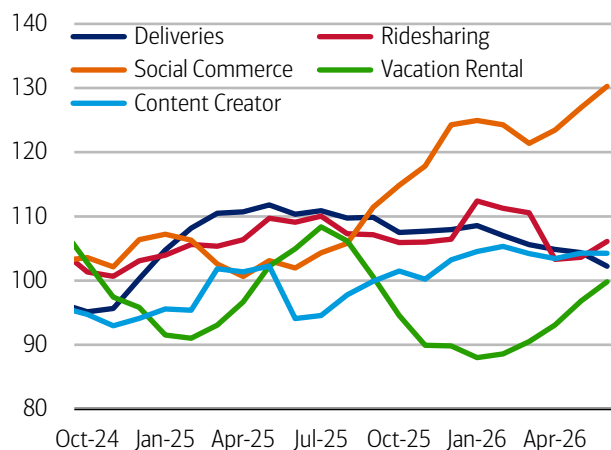


Source: Bank of America internal data

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Exhibit 8: The number of customers participating in social commerce gig work was up more than 30% from the 2024 average

Gig workers by type (monthly, three-month moving average, indexed, 2024 average = 100)



Source: Bank of America internal data

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What type of gig work are people taking on? While the number of customers participating in food delivery has trended downwards, social commerce has accelerated, up more than 30% from the 2024 average (Exhibit 8). In our view, this could be due in part to strong consumer demand for thrifted items bought via social commerce sites (read more on this in April's publication: [Secondhand fashion piece](#)).

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Estimate of payrolls growth from Bank of America internal data is based on the change in customer accounts receiving a paycheck in the month. An adjustment is made for the difference between overall population growth and customer account growth.

An estimate of bonus growth from Bank of America deposit data is calculated by looking at customers who have received an inbound ACH payroll transaction in the last two years. From this sample an estimate of bonuses is derived by looking for payroll transactions which are over 50% higher than the median regular payroll payments received by the customer. Of these payments only those that were received around the same time in each of the last two years are selected.

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Disclosures

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Economy

The Gen Z reality check

04 August 2026

Key takeaways

- Gen Z have the lowest savings-to-spending ratio of any generation, yet spending growth has remained resilient. They have been the exception to the "K-shaped" pattern, as all income cohorts within Gen Z have exhibited strong spending growth over the past six months, according to Bank of America credit and debit card data.
- Gen Z discretionary spending has strengthened across beauty, jewelry, coffee and travel, according to Bank of America payments data. This suggests younger consumers are prioritizing purchases and experiences that deliver immediate gratification - consistent with the "little treat economy".
- To maintain these spending priorities and pursue longer-term goals, Gen Z may be seeking additional income sources. A tougher labor market for new entrants - with many not getting the hours or income they would like - has coincided with increasing gig work. Bank of America account data found nearly 40% of Gen Z gig work comes from social commerce platforms.
- In this publication, we separate Gen Z fact from fiction, examining popular narratives about the generation through the lens of Bank of America data to better understand their spending behaviors, financial priorities and economic influence.

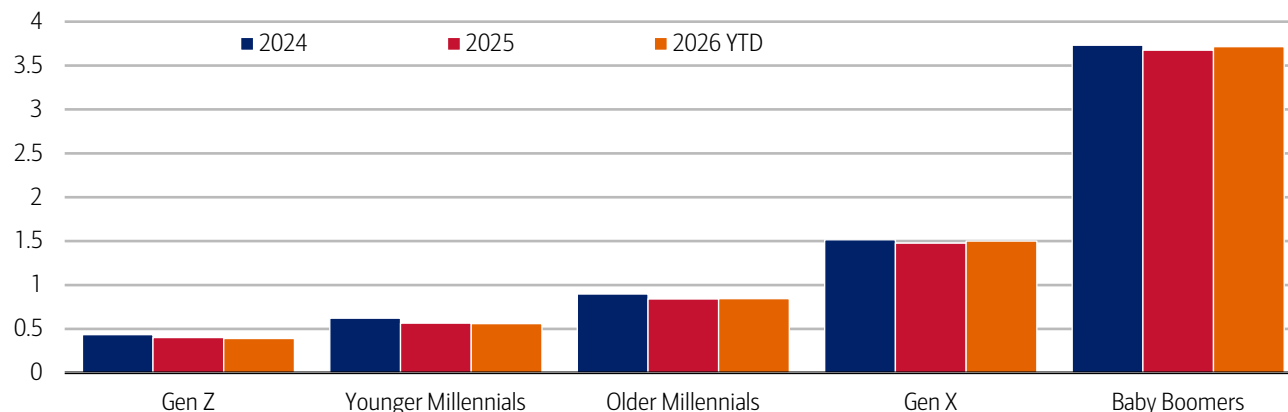
For Gen Z, saving can wait

Gen Z, which we define as those born after 1995, have the lowest median savings-to-spending ratio relative to other generations. At just below 0.5, this indicates their median cumulative savings balances are less than their monthly median spending (Exhibit 1). Note that median spending reflects Bank of America credit and debit card as well as business/peer-to-peer payments and may not represent all account outflows. See Methodology for more details.

Despite the lower ratio, according to [Bank of America's 2026 Workplace Benefits Report](#), Gen Z have begun to save for retirement earlier than previous generations. This could partly explain why 51% of younger Gen Z (ages 18-22) say they still receive financial support from parents or other family members, along with 29% of middle Gen Z (ages 23-25) and 18% of older Gen Z (ages 26-29) (for more, read [Bank of America's Better Money Habits Gen Z & The Cost of Adulting](#)).

Exhibit 1: Gen Z have the lowest savings-to-spending ratio

Median savings-to-spending ratio by generation (annual average year-to-date (YTD))



Source: Bank of America internal data

Note: A ratio greater than one indicates median cumulative savings balances are greater than monthly median spending. Median spending reflects credit card, debit card, and business/peer-to-peer payments and may not represent all account outflows.

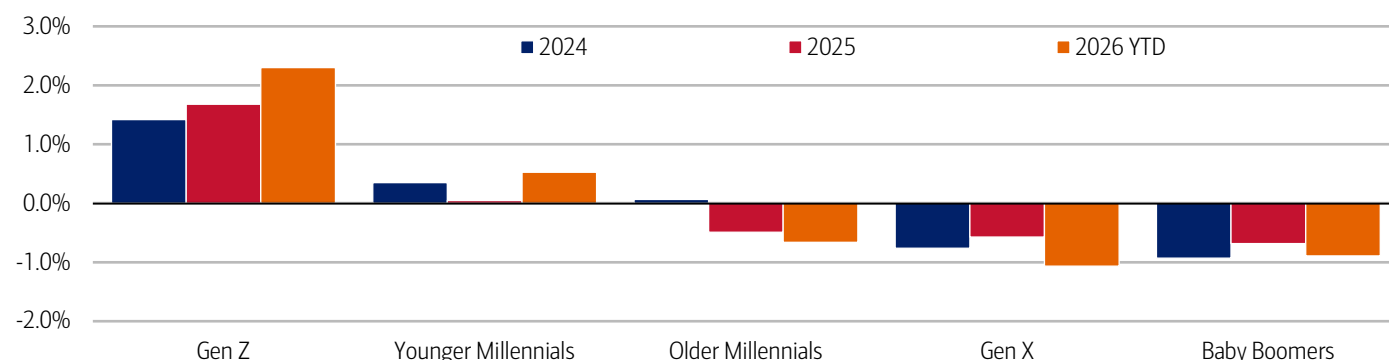
Gen Z also turns to fintech

However, one important caveat to our savings-to-spending ratio is that it may not capture alternative financial payments. Alternative financial payment adoption refers to software, mobile apps and digital tools used to enhance and automate interactions with financial services. Using Bank of America customer deposit data, we find that Gen Z increasingly accounts for a larger share of fintech (financial technology) adoption (Exhibit 2) (See footnote for definition).

In our view, this may reflect Gen Z's interest in digital-first financial tools and interest in non-traditional assets such as cryptocurrency (read more on this in October's [Crypto goes steady: Stablecoins](#)). Their growing use of fintech also aligns with broader evidence that Gen Z's growth in AI subscriptions suggests a willingness to embrace digital solutions across both financial management and everyday decision-making (read more on this in March's publication of [Not quite mainstream](#)).

Exhibit 2: The share of Gen Z using fintech is up 2%

Fintech adoption* by generation (% change in share, annual year-to-date (YTD))



Source: Bank of America internal data

*Note: Fintech adoption is measured by payments to and from financial technology merchants.

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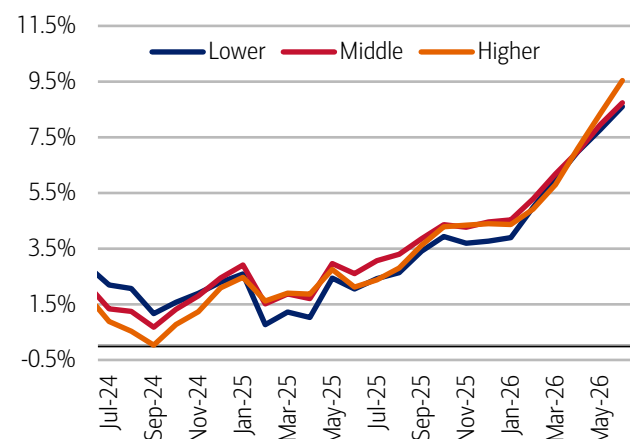
There's no "K" within Gen Z – and there hasn't been all year

Gen Z have also posted relatively strong spending growth over the past year (Exhibit 3). Perhaps even more notably, the "K-shaped" trends that have defined much of the recent economic narrative are less evident among Gen Z, making the generation something of an outlier.

In fact, the difference between higher- and lower-income spending growth has been smallest for Gen Z for over a year (Exhibit 4). Why might this be? It's possible that Gen Z's propensity to spend is more evenly distributed across income groups as they are in an earlier life stage and could be less focused on saving.

Exhibit 3: "K-shaped" spending growth hardly exists within Gen Z

Total credit and debit card spending growth per Gen Z household by income (monthly, YoY%, three-month moving average)

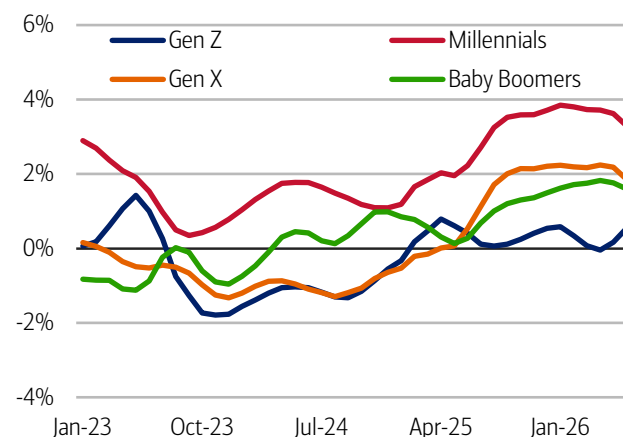


Source: Bank of America internal data

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Exhibit 4: The difference between higher- and lower-income spending growth has been smallest for Gen Z

Difference between higher- and lower-income household spending growth by generation (monthly, three-month moving average)



Source: Bank of America internal data

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Glow-ups are still in the Gen Z budget

Diving deeper, it appears that Gen Z's overall spending growth has not come solely from necessity spending, although this category did see strong gains across April and May, primarily due to elevated gas prices (Exhibit 5) (read more on younger generations' sensitivity to rising gasoline prices in March's [Will younger-gen spending hit a gas-price speed bump?](#)).

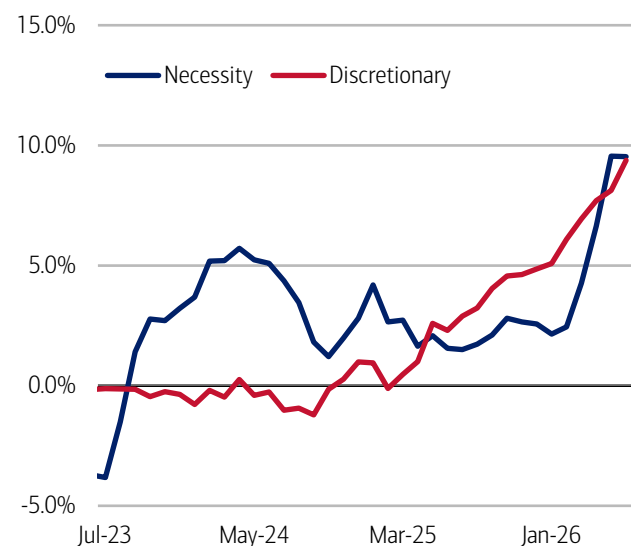
Discretionary spending growth per Gen Z household has been steadily increasing since March 2025, suggesting affordability pressures have not led this generation to broadly pull back on nice-to-have purchases.

Notably, certain retail categories have benefited, with jewelry spending per Gen Z household up almost 11% year-over-year (YoY) in June, while spending on both clothing and beauty has improved significantly, nearly matching that of overall retail (excluding autos and gas) since September 2025 (Exhibit 6).

These spending choices may reflect broader shifts in preferences. In one of our prior publications, we found that younger generations are increasingly choosing fitness and active hobbies over alcohol-related spending, pointing to a growing emphasis on wellness-focused experiences (read more on this in February's [Younger generations move from barstools to barbells](#)).

Exhibit 5: Gen Z discretionary spending growth has strengthened over the past year, although necessity spending has also surged in the past two months

Gen Z spending per household by category (monthly, three-month moving average, YoY%)

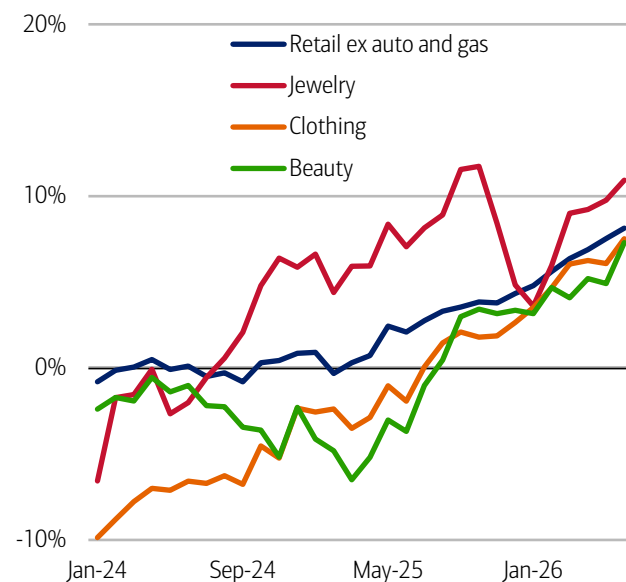


Source: Bank of America internal data

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Exhibit 6: Gen Z jewelry spending growth has been stronger than other retail categories

Credit and debit card spending per Gen Z household by category (monthly, three-month moving average, YoY%)



Source: Bank of America internal data

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Amid rising costs, Gen Z taps into the “little treat economy”

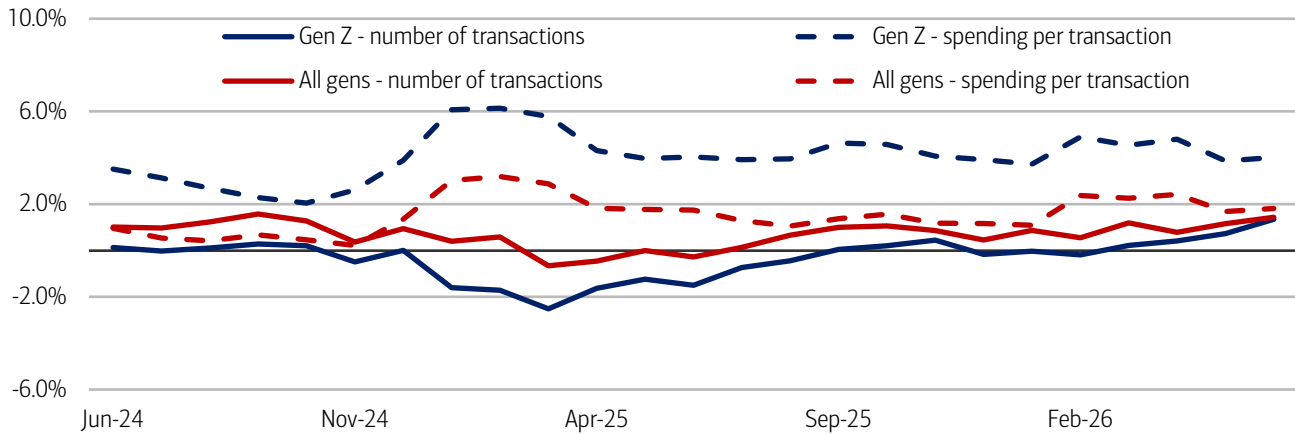
An increase in retail spending, especially on beauty-related small-ticket items, could indicate the “lipstick index” is showing up in Gen Z spending patterns. Historically, the idea behind the “lipstick index” is that when consumers pull back on big-ticket purchases, they may still make room in their budgets for smaller, more affordable luxuries — items like lipstick, perfume or nail polish.

Using Bank of America credit and debit card data, we find that growth in spending per transaction at cosmetic stores was nearly four times stronger than growth in the number of transactions (Exhibit 7). This suggests Gen Z may not simply be buying beauty products more often but instead spending more when they do.

In other words, the modern lipstick index may be less about purchasing lipstick more frequently and more about “treating up” when the occasion arises. For Gen Z, this trend is consistent with the “little treat economy,” where smaller discretionary indulgences remain appealing and might even be worth spending more on when larger financial milestones feel harder to reach.

Exhibit 7: Gen Z cosmetic store spending per transaction growth was nearly twice as strong as the overall average

Gen Z average spending per transaction and number of transactions at cosmetic stores (YoY%, monthly, three-month moving average)



Source: Bank of America internal data

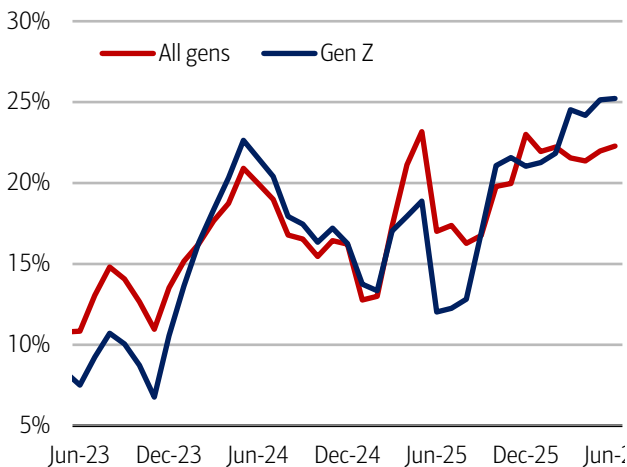
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The “little treat economy” extends well beyond the cosmetics aisle. Notably, small and mid-sized coffee spending growth across all generations has been strong, but Gen Z’s has been stronger since the start of the year (Exhibit 8). Looking at frequency of purchase, Gen Z also beat other generations across a range of “little treat” categories, including ice cream and baked goods (Exhibit 9). Gen Z average spending per transaction has grown more than twice as much as the overall rate.

According to Bank of America’s Better Money Habits report, [Gen Z & The Cost of Adulting](#), the “little treat economy” shows no sign of fading. This year, 92% of Gen Z respondents said they treat themselves, whether to lift their mood on a bad day or celebrate a good one, unchanged from 2025.

Exhibit 8: Gen Z spending at small and mid-sized coffee chains grew more than 25% YoY in June

Small and mid-sized coffee spending growth per household Gen Z versus overall (monthly, three-month moving average, YoY%)

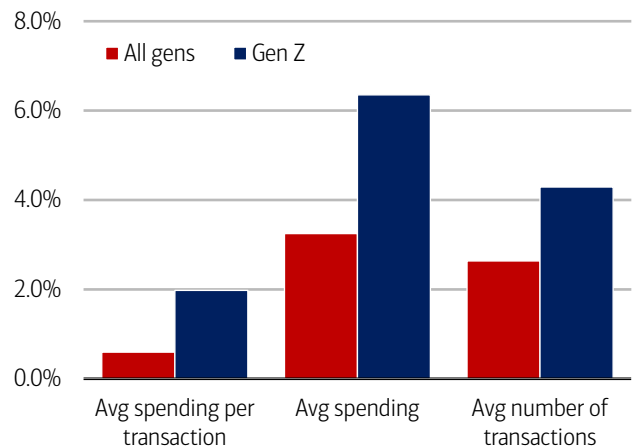


Source: Bank of America internal data

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Exhibit 9: Gen Z average spending per transaction on “little treats” is more than twice as fast as overall growth

Gen Z “little treat” spending per transaction and average number of transactions in June (YoY%, three-month moving average)



Source: Bank of America internal data

Note: Little treat spending includes bakery, bagel, ice cream and frozen yogurt merchants.

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Higher costs curb Gen Z’s travel bug

Even as Gen Z spend on material things, the [2026 Bank of America Summer Travel Outlook](#) suggests that they planned to stay booked and busy this summer, with nearly 93% of respondents indicating they either had a summer trip planned or intended to take one.

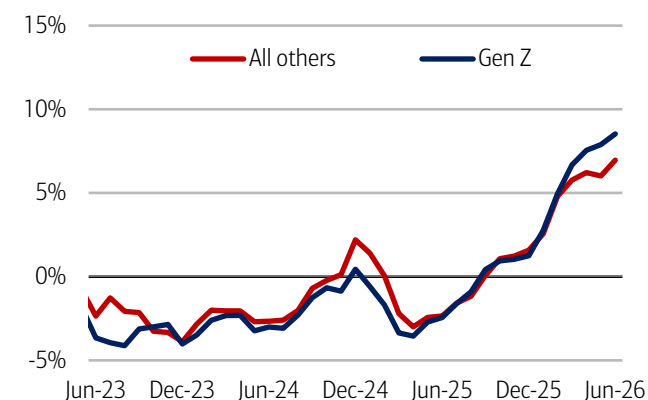
Consistent with that sentiment, Bank of America internal data shows Gen Z travel spending remained strong through June 2026, rising roughly 8.5% YoY, and outpacing all other generations’ travel-related spending growth of nearly 7% YoY (Exhibit 10).

But like travelers of all ages, Gen Z may be facing higher costs. Looking at Bank of America internal data, spending on both luxury and non-luxury hotels by Gen Z has trended upward since May 2025 (Exhibit 11). However, transaction growth has

remained relatively flat across both categories, suggesting that rising costs, rather than increased travel volume, may be driving higher spending.

Exhibit 10: Gen Z travel-related spending growth has outpaced all other generations since March 2026

Per household spending on travel by generation (YoY%, three-month moving average)



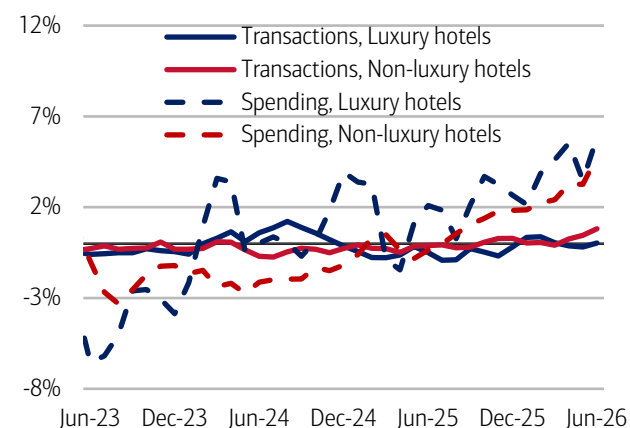
Source: Bank of America internal data

Note: Travel includes spending such as hotels, car rentals, airlines and travel agencies.

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Exhibit 11: Gen Z spending on luxury and non-luxury hotels has increased, while transactions have remained fairly flat

Gen Z spending and transactions per household on luxury and non-luxury hotels (YoY%, three-month moving average)



Source: Bank of America internal data

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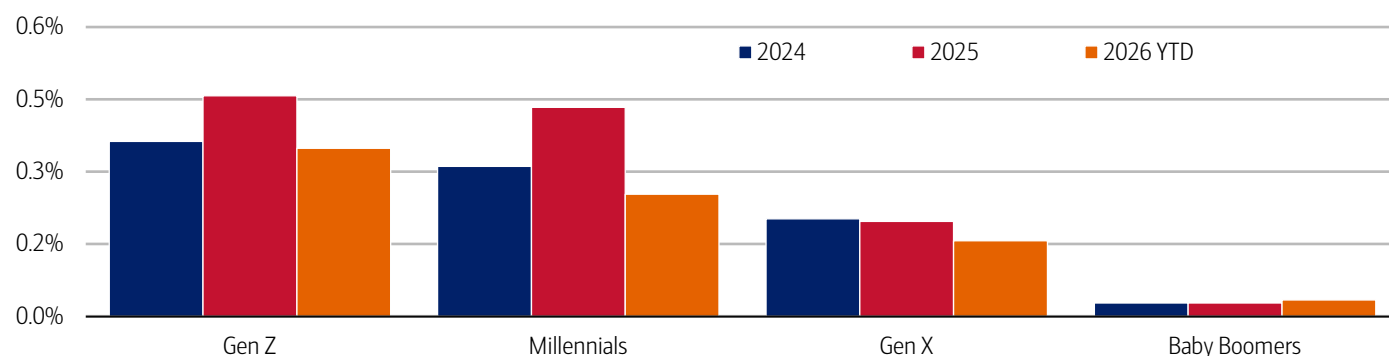
For Gen Z, it feels like everyone's got a gig

Even so, Gen Z appear willing to make financial trade-offs to prioritize travel and experiences. In the 2026 Travel Outlook, 27% of Gen Z respondents said they were already taking on or planned to take on extra work or a side gig to help afford travel and live entertainment.

Using Bank of America data, although this has slowed from 2025, we find the share of gig workers among Gen Z has increased at a faster rate than other generations (Exhibit 12), consistent with the theory that younger workers may be looking for ways to supplement their income. According to [Bank of America's 2026 Homebuyer Insight Report](#), over a quarter of Gen Z respondents said they were willing to take on extra jobs to make homeownership more attainable.

Exhibit 12: The share of gig workers among Gen Z has increased at a faster rate than other generations although growth has slowed from 2025

Share of gig workers by generation (percent difference from previous year, annual, year-to-date (YTD))



Source: Bank of America internal data

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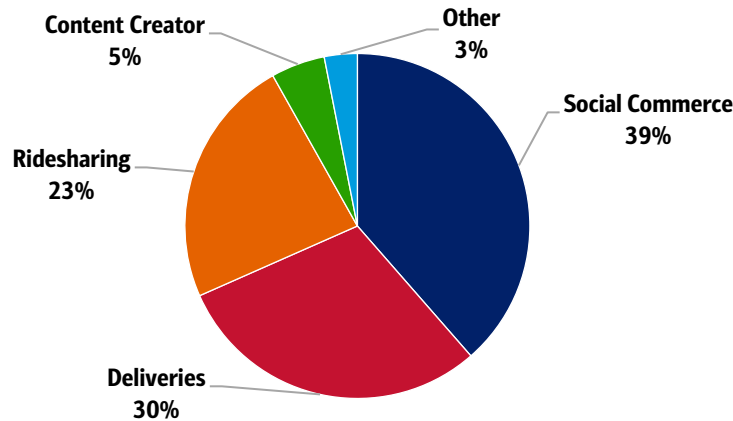
Gen Z embrace social commerce

How are Gen Z securing a second income stream? According to Bank of America data, social commerce (i.e. the process of selling products and services on e-commerce and social media platforms) has comprised the largest share of Gen Z gig work so far this year (Exhibit 13), which is consistent with Gen Z's overwhelming presence on secondhand selling platforms (read more on this in April's [Secondhand fashion](#) piece). This is followed by deliveries (30%) and ridesharing (23%).

And though it may feel like we're living in the era of social media influencers, we find that just 5% of Gen Z gig work came from content creation such as influencers. This is down slightly from last year, although it's important to note that this would not capture any income associated with brand deals or related gifts.

Exhibit 13: As of June, social commerce comprises the largest share of Gen Z gig work in 2026

Share of Gen Z gig work by type in 2026 (%)



Source: Bank of America internal data

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Strong wage growth supports spending

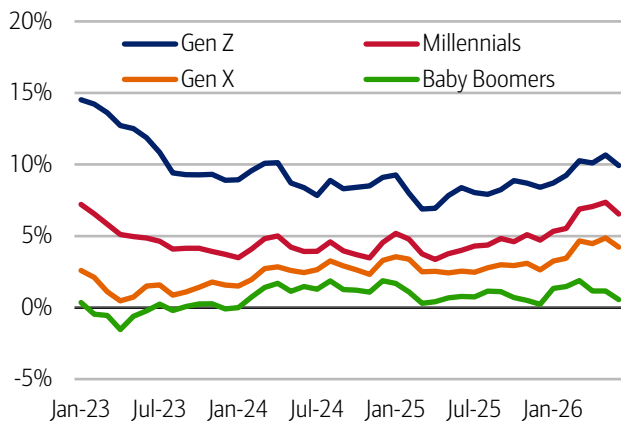
According to Bureau of Labor Statistics (BLS) data, multiple jobholding remains elevated, while workers employed part-time for economic reasons remain an important measure of underemployment — suggesting some workers are not getting the hours or income they would prefer.

For many young workers, unemployment rates remain above the US average and are higher than in 2025 (Exhibit 15). This is especially true for recent graduates, whose unemployment rate is higher now than it was 10 years ago as well as in 2008. And the 52-week duration of unemployment has trended higher for those aged 25-34 than other older cohorts.

For those Gen Z who are employed, though, wage growth has been strong, up 10% YoY in June (Exhibit 14). It has significantly outpaced that of older generations, likely reflecting, in part, that many Gen Z workers are securing their first paychecks. For Gen Z, this, along with a relatively low median savings-to-spending ratio, creates a stark divide in spending ability between those who are employed and those who are not.

Exhibit 14: Gen Z wage growth was up 10% YoY in June

After-tax wage and salary growth by generation (monthly, three-month moving average, YoY%)

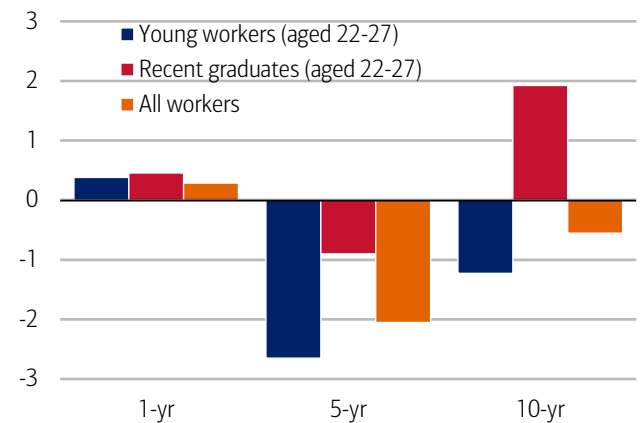


Source: Bank of America internal data

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Exhibit 15: Recent graduates' unemployment rate is higher now compared to 10 years ago

Unemployment rates for recent college grads versus other groups (percent difference from 2026)



Source: New York Fed, US Census Bureau and US Bureau of Labor Statistics (BLS), Current Population Survey (IPUMS)

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Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under \$5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

Unless otherwise noted lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

The median savings-to-spending ratio is calculated as the monthly cumulative median deposit balance over monthly median spending. Median spending reflects Bank of America credit and debit card as well as business/peer-to-peer payments and may not represent all account outflows.

Gig type of income referenced in this report is derived from aggregated inflows to consumer direct deposits or debit cards from gig platforms.

The Bank of America 2026 Summer Travel Outlook survey was conducted online between March 26 and April 3. The survey consisted of 2,004 respondents throughout the U.S. Respondents in the study were age 18+ and were representative of the composition of the U.S. Census for age, gender, household income and Census region. Lower, middle and higher household income cuts in the survey were based on quantitative estimates of annual household income before taxes. They are defined as follows: lower-income households: \$0-\$66,000; middle-income households: \$66,001-\$130,000; higher-income households: >\$130,000.

The Better Money Habits survey was conducted online from February 10 – February 28, 2026, by Ipsos. This study is based on national samples of more than 2,000 respondents, including 1,146 general population adults (age 18 or older) and 1,133 general population Gen Z adults (age 18-29). The survey was conducted both in English and Spanish and utilized samples from both opt-in sources and the Ipsos KnowledgePanel®, the largest and most well-established online probability-based panel that is representative of the adult US population. The margin of sampling error for the general population sample is +/- 3.0 percentage points and for the general population Gen Z sample is +/- 3.0 percentage points at the 95 percent confidence level.

The survey data has been weighted to match national population benchmarks. The general population sample and general population Gen Z sample were weighted separately to match national population demographics of gender, age, race/ethnicity, education, region, metropolitan status, household income, language proficiency and Hispanic origin. Benchmarks for these variables were obtained from the Census Bureau's 2025 Current Population Survey (CPS), with the exception of benchmarks for language proficiency, which were obtained from the Census Bureau's 2024 American Community Survey (ACS).

Escalent is a research and data analytics firm that helps clients understand human and market behaviors and trends. Bank of America partnered with Escalent to survey a national sample of 941 employees who are working full time and participate in 401(k) plans, and 806 employers who offer both a 401(k) plan and have sole or shared responsibility for decisions made in the plan. The Workplace Benefits survey was conducted between December 4, 2025, and January 26, 2026.

To qualify, employees had to be current participants in a 401(k) plan, and employers had to offer a 401(k) plan option. Neither was required to work with Bank of America, which was not identified as the sponsor of the study.

Escalent's sample population spanned age, gender, household income and company size to help ensure that they're representative of the target audience. The data is weighted by those variables for greater accuracy and authenticity in the research results.

Sparks Research conducted the Homebuyer Insights Report national online survey on behalf of Bank of America from April 13 to May 10, 2026. A total of 2,000 surveys (1,000 homeowners / 1,000 renters) were completed with adults 18 years old or older who make or share in household financial decisions and who currently own a home/previously owned a home or plan to own a home in the future. The margin of error is +/- 2.2 percent at the 95 percent confidence level. Select questions allowed respondents to choose more than one answer, resulting in responses that may equate to more than 100 percent.

Additional information about the methodology used to aggregate the data is available upon request.

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Sustainability

Geothermal 101: The heat at your feet!

13 August 2026

Key takeaways

- Geothermal energy uses heat from within the Earth to generate electricity and provide heating and cooling. While conventional hydrothermal projects rely on naturally occurring underground heat, fluid and permeability, newer technologies are expanding development beyond traditional resources.
- Power plant designs are largely determined by underground heat levels, with higher-temperature reservoirs supporting direct steam generation and lower-temperature ones requiring more engineered systems that expand development opportunities.
- Beyond electricity generation, geothermal energy can also support heating, cooling, industrial processes and heat pumps - broadening its potential market - while permitting reforms and evolving state and federal policies increasingly influence the pace and economics of deployment.

Geothermal fundamentals

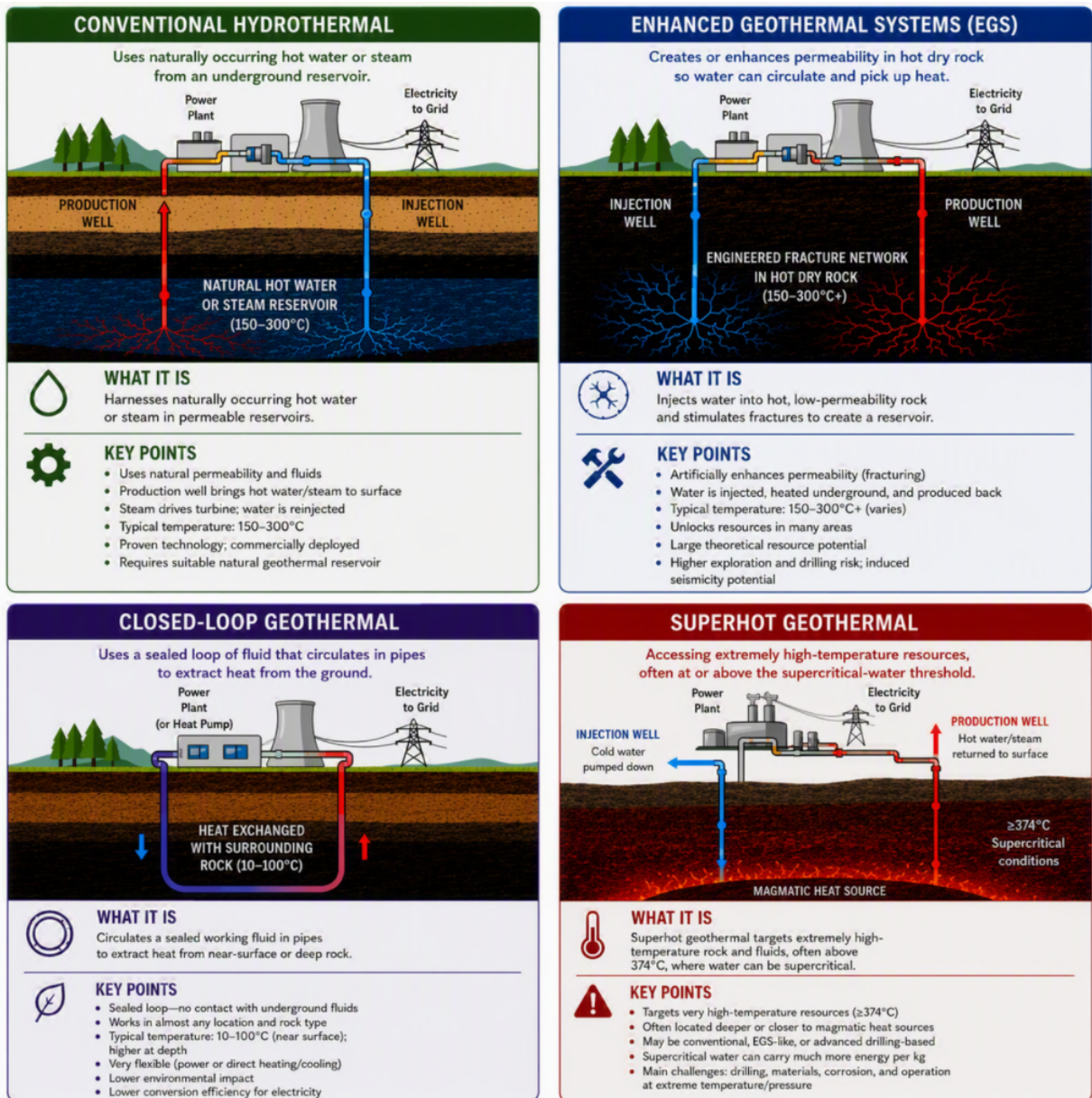
What is it?

Geothermal energy harnesses the Earth's internal heat, typically by drilling into hot underground rocks and using naturally occurring or engineered fluid systems to bring that heat to the surface for electricity generation, heating or cooling. While conventional projects rely on naturally occurring underground heat, fluid and permeability (the ability of rock to allow fluids to flow through it), newer approaches are expanding beyond traditional hydrothermal fields, according to BofA Global Research.

Geothermal technologies can be grouped into four main types (Exhibit 1):

- **Conventional hydrothermal:** This method uses naturally occurring underground reservoirs where heat, fluid and permeability already exist together. It is the industry's foundational technology and the benchmark against which newer technologies are evaluated.
- **Enhanced geothermal systems (EGS):** This approach uses drilling and reservoir stimulation techniques to create engineered reservoirs in hot rock where natural permeability and/or fluid flow is insufficient. It offers the clearest pathway to expand geothermal development beyond the narrow footprint of conventional resources. By engineering reservoirs rather than relying on naturally favorable underground conditions, EGS has the potential to broaden the sector's resource base and become the primary long-term growth technology, according to BofA Global Research.
- **Closed-loop geothermal:** This method circulates fluid through underground wellbores or pipe networks rather than relying on naturally permeable rock formations and reservoirs. It is differentiated by its focus on reducing dependence on natural reservoirs and moving toward a more engineered and potentially more repeatable system design. The central question remains whether performance and economics can be proven at scale, as lower heat-transfer efficiency may require more complex designs and a higher costs to deliver competitive output.
- **Superhot geothermal:** The most ambitious segment of the geothermal landscape, targeting extremely high-temperature resources (generally above 375 degrees Celsius). If successful, it could materially improve project economics by increasing energy output per well and enhancing overall plant efficiency. This category, however, remains the most technically demanding and least mature, per BofA Global Research.

Exhibit 1: Conventional hydrothermal uses naturally occurring reservoirs; EGS engineers permeability in hot rock; closed-loop systems circulate fluid through sealed wells; and superhot geothermal targets much higher-temperature resources
 Infographic illustrating four core approaches to geothermal energy



Source: BofA Global Research

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Power plant configuration

Geothermal power plant configurations are primarily determined by reservoir temperature and fluid characteristics. The hotter and drier the resource, the more directly it can drive a turbine, while lower-temperature resources typically require an intermediate working fluid and have different economic characteristics.

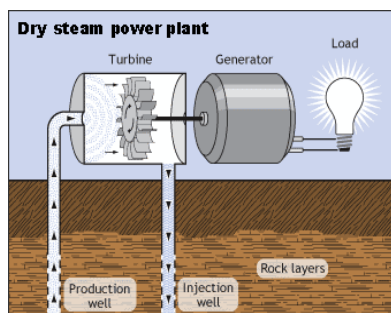
- Dry steam (Exhibit 2):** The simplest power plant configuration, used where the reservoir naturally produces steam. In this design, steam flows directly from the reservoir to the turbine, making the surface plant relatively straightforward and efficient where resource quality is high. Its economic advantage lies in its simplicity and strong operational performance. Even so, it is also the rarest major plant type because suitable reservoirs are uncommon.
- Flash steam (Exhibit 3):** Flash steam plants, the most common conventional geothermal technology, use high-temperature underground water to generate steam that drives a turbine. While effective in proven, energy-rich reservoirs, they require

complex fluid management and are less adaptable to lower-quality or dispersed geothermal resources than next-generation systems.

- **Binary cycle (Exhibit 4):** Typically used for moderate-temperature resources. Heat is transferred to a secondary working fluid with a lower boiling point, which then vaporizes and drives the turbine. This approach broadens the usable resource base, supporting development in areas unsuitable for dry steam or flash designs, according to BofA Global Research. The tradeoff is lower conversion efficiency, meaning project economics depend more heavily on drilling costs, flow rates and plant optimization.

Exhibit 2: Dry steam plants use naturally occurring underground steam to directly spin a turbine

Illustration of a dry steam power plant

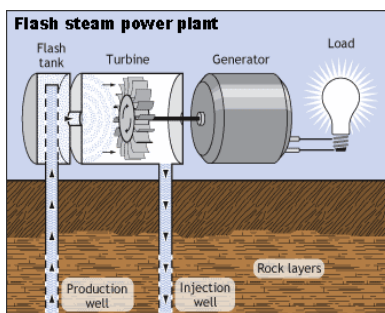


Source: BofA Global Research, US Energy Information Administration (EIA)

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Exhibit 3: Hot geothermal water is brought to the surface, “flashed” into steam, and used to spin a turbine

Illustration of flash steam power plant

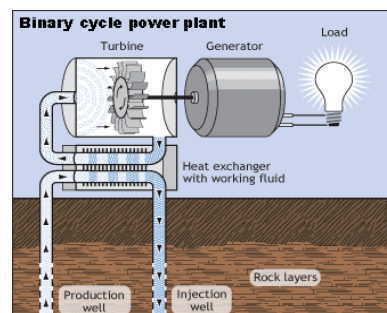


Source: BofA Global Research, EIA

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Exhibit 4: Moderate-temperature geothermal water transfers heat to a secondary working fluid

Illustration of binary cycle power plant



Source: BofA Global Research, EIA

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Some geothermal projects use hybrid or combined-cycle designs – such as flash/binary configurations – to improve resource recovery by extracting energy from both the steam and the remaining hot liquid. While less common than the three primary plant types, these hybrid approaches show how plant design can be tailored to maximize output from a specific reservoir. They can improve project economics where the resource supports them, but they also add engineering complexity and are typically most applicable in mature fields with well-understood reservoir behavior.

In practice, temperature remains the driver of technology choice: the highest-temperature resources favor dry steam or flash, while progressively lower-temperature resources shift toward binary and other more engineered solutions.

Non-power geothermal applications

Beyond electricity generation, geothermal energy can also be used for district heating and cooling systems, industrial heat and geothermal heat pumps – all of which expand the sector’s potential market beyond utility-scale power. These applications help diversify revenue streams, broaden the customer base and position geothermal as a contributor to both the power transition and the decarbonization of buildings and industrial heat, per BofA Global Research.

Development sequence

Geothermal development typically follows a staged sequence:

1. **Exploration and resource characterization:** The earliest stages, when developers assess subsurface temperature, permeability and fluid potential. This is critical because resource quality ultimately determines plant design, output and project economics.
2. **Resource confirmation and drilling:** Wells are drilled to establish whether the project can support commercial production. This is one of the most economically important phases because subsurface risk, well success and drilling cost are major determinants of project value. Where required, reservoir development or stimulation follows, helping to create or enhance fluid flow and support long-term productivity – particularly in next-generation geothermal systems.
3. **Plant construction and interconnection:** Surface facilities are designed to match the resource type and temperature. This stage is important because design and execution affect capital intensity and long-term operating efficiency, according to BofA Global Research.
4. **Operations and reservoir management:** This includes fluid reinjection and performance monitoring, which are essential for sustaining output, preserving reservoir life and supporting long-term cash flow.

Resource base and market opportunity

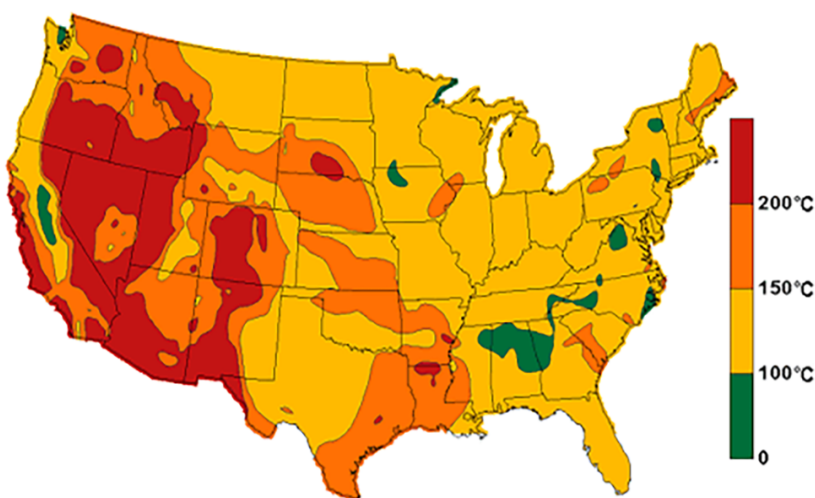
Geothermal represents a small share of installed capacity in the US power mix, but its strategic value is increasing as grids place a higher premium on clean, firm, high-capacity-factor generation rather than intermittent sources alone. Globally, geothermal accounts for less than 1% of energy demand, while installed US capacity provides roughly 0.4% of total US energy supply. However, BofA Global Research views the sector as underpenetrated relative to its potential, with scope for sustained long-term growth if costs continue to fall and deployment becomes more scalable and repeatable.

Historically, geothermal development has been concentrated in regions with high-quality hydrothermal resources, limiting the market to a relatively narrow set of geographies and capping conventional growth (Exhibit 5). That constraint is beginning to ease as next-generation technologies, such as EGS and closed-loop systems, seek access to hotter rock across a much broader range of locations. This expansion of available resources could increase both project pipelines and the range of potential commercial applications, per BofA Global Research.

Exhibit 5: US geothermal resources are concentrated out west

US map of geothermal resources

Geothermal resources of the United States



Source: U.S. Department of Energy, Office of Energy Efficiency & Renewable Energy (public domain)

Source: BofA Global Research, US Department of Energy Office of Energy Efficiency & Renewable Energy

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Scale scenarios

The question is not whether geothermal energy works, but whether it can scale. The Department of Energy's (DOE) GeoVision analysis suggests US geothermal capacity could rise to 60 gigawatts (GW) by 2050 under favorable technology improvement assumptions. More recent DOE commercialization work points to even greater potential for next-generation geothermal if drilling productivity, financing and execution improve. The International Energy Agency (IEA) similarly sees a pathway to large-scale global deployment, particularly if project risks decline and costs begin to follow patterns similar to those of other energy technologies that have scaled through innovation and repetition.

Permitting & policy

Permitting

For geothermal, project permitting is a core economic variable. DOE's permitting guidance and GeoVision analysis both highlight project timelines, environmental review and land-access approvals as significant barriers to development. Delays in these areas can extend construction timelines, increase carrying costs and delay revenue generation.

According to BofA Global Research, this is why recent state actions matter. California's AB 531, enacted in October 2025, expanded access to the California Energy Commission's opt-in permitting pathway for geothermal projects, providing developers with a faster state-level route through environmental review. Colorado's HB25-1165, signed by Governor Polis in May 2025, was designed to support geothermal deployment and improve permitting clarity. Similarly, Washington's SB 6039, signed in March 2024, combined data collection with exploration support and updated state leasing rules to help advance development.

Federal regulators have also taken steps to reduce permitting timelines. In April 2026, the Bureau of Land Management established a categorical exclusion for certain low-impact geothermal exploration activities, helping developers assess geothermal resources more quickly while streamlining approvals.

Policy

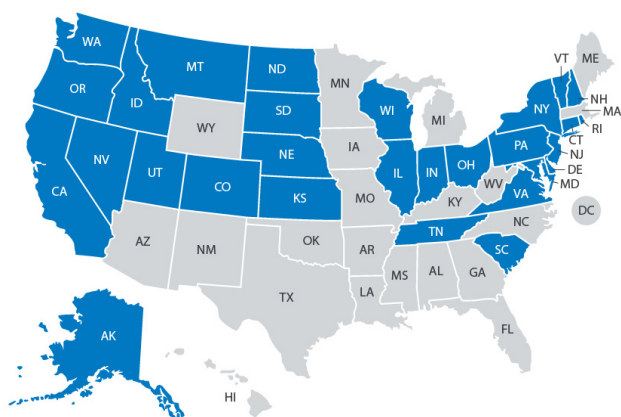
Geothermal has historically received less targeted policy support than other forms of clean energy, such as wind and solar. However, this gap is beginning to narrow, as nearly 30 states offer incentives for geothermal power, and a growing number are also supporting geothermal heating and cooling (Exhibit 6).

Momentum at the state level is increasingly evident in both regulatory and legislative priorities (Exhibit 7). New Mexico's 2024 Geothermal Resources Development Act underscores growing legislative interest in geothermal development, while California has taken steps to streamline geothermal siting and environmental review.

The federal backdrop is more mixed. DOE’s tax-credit guidance notes that legislation enacted on July 4, 2025, changed the landscape for geothermal heat-pump incentives. Industry summaries indicate residential credits were reduced after 2025, while support for commercial geothermal has remained comparatively more durable.

Exhibit 6: 29 states offer incentives for geothermal electricity projects

States with existing incentive policies for geothermal power

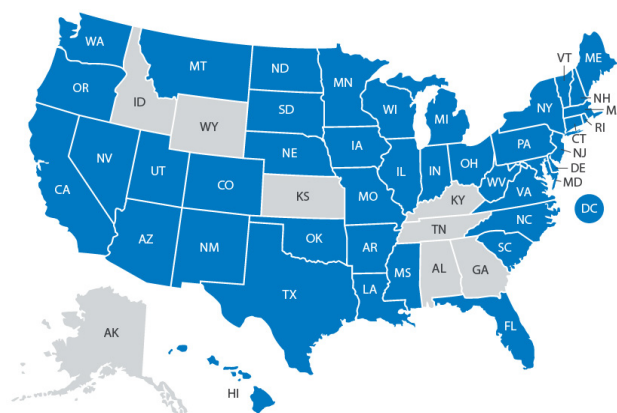


Source: BofA Global Research, National Laboratory of the Rockies
Note: Data as of December 2025.

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Exhibit 7: Most states have existing geothermal regulatory policies

States with existing regulatory policies for geothermal power



Source: BofA Global Research, National Laboratory of the Rockies
Note: Data as of December 2025.

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